US Corporate Credit

2026 Midterm Election Implications

US HG & HY Strategy and Research

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

Kabir Caprihan, CFA AC
(1-212) 834-5613
kabir.x.caprihan@jpmorgan.com

Nathaniel Rosenbaum, CFA AC
(1-212) 834-2370
nathaniel.rosenbaum@jpmorgan.com

Nelson Jantzen, CFA AC
(1-212) 270-1169
nelson.r.jantzen@jpmorgan.com
J.P. Morgan Securities LLC

An election less defined by a rigourous policy debate. Despite the rhetoric, the current midterm election cycle has been relatively light on policy as compared to prior election cycles. It's hard to definitively say what is driving this phenomenon, but one factor is likely the increasing footprint of populism across both parties. Nonetheless, elections matter and there are clearly important implications across sectors.

Midterm elections have historically had surprisingly little impact on the broader credit markets. The 2002 midterm elections skew the historical data with High Yield +9.6% and the High Grade market 68bp tighter in the three months post that particular election. Note that the election came out of the 2001-2002 recession, with starting High Yield market yields of 13.8%. Excluding that outlier, since the year 2000 the typical post-election response over three months has been High Yield +2.9% and High Grade 7bp tighter. In terms of analogous electoral setups, the 2006 election ended with a Republican president and Democratic control of Congress with the High Grade market 7bp tighter and High Yield market +4% in the following three months. Conversely, the 2018 election ended with a Republican president, Republican Senate and Democratic House. The High Grade market was 9bp wider and High Yield returned +1.8% in the subsequent three months. This time will probably be similar, in our view, and we suspect the Fed, inflation, deficits, rates and corporate earnings will probably have a bigger impact on credit markets than the election. See inside for more historical context and thoughts around transmission mechanisms from our strategy teams.

Data centers and AI touch everything. We could write an entire note about the potential impact of different regulatory regimes on the AI and data center buildout. In the heat of the election it appears one thing that unites Democrats and Republicans is a negative disposition towards data centers and desire to create an AI regulatory framework. The nuances of how that plays out have enormous implications across the economy from Technology to Real Estate, Power and Energy. Our analysts address some of these implications in their various sector writeups – but clearly more should be written.

Other key themes to watch for in this election. Trade policy remains front and center given how active trade policy has been during the first two years of Trump Administration II. M&A and corporate have arguably surprised to the downside relative to expectations under the current FTC and DoJ. Those agencies don't change with the midterms, but a less supportive Congress could have implications and further dampen volumes. At the more industry-specific level, EV incentives will likely be hard to change, while drug pricing reform remains a popular bipartisan issue and could attract additional attention as politically feasible in a partisan world.

See page 48 for analyst certification and important disclosures.

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

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US credit picks / pans

HG Credit	
Picks	Pans
F GEV JBS RTX CVECN STLD AEP INTC CHTR CF COF INVH	KR HAL VST NVDA META MOS

HY Credit	
Picks	Pans
KSS CVNA STGW CCK AES CE CYH VENLNG AAL PENN	ACI ARGID MASBRA TROX LVLT TRACTD MOH

Source: J.P. Morgan

Tarek Hamid [AC] (1-212) 834-5468
tarek.x.hamid@jpmorgan.com
J.P. Morgan Securities LLC
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kabir.x.caprihan@jpmorgan.com
Nathaniel Rosenbaum, CFA [AC] (1-212) 834-2370
nathaniel.rosenbaum@jpmorgan.com
Nelson Jantzen, CFA [AC] (1-212) 270-1169
nelson.r.jantzen@jpmorgan.com

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Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

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High Yield Strategy

In a matter of weeks, one of the year's most anticipated political catalysts will come to pass in the form of the US midterm elections. **To be clear, we believe the US mid-terms are likely to matter more for fiscal policy, tariffs, regulation, M&A, and rate volatility (via the debt ceiling debate) than corporate fundamentals.** While the Democrats are widely anticipated to secure the House (~90% prediction odds), the outcome of the Senate race is expected to be much closer. **Currently, there is about ~60-65% likelihood for a Blue Wave** depending on which prediction market one focuses on. A Blue Wave scenario would likely shift the policy landscape on the margin, whereas a Gridlock scenario would be beneficial primarily through limited downside policy risk rather than creating a new upside catalyst. While investor concern for the midterms has largely centered on the pace of the AI/datacenter buildout, we expect AI capex momentum to remain intact after the midterms and potentially even strengthen in 2027 and 2028. **For leveraged finance, the impact of the election outcome will likely be more nuanced and favor credit picking. At the index level, we believe spreads for high-yield bonds and leveraged loans will be driven more by trends in economic growth and corporate earnings versus whether Gridlock or a Blue Wave materializes**.

Historical performance of high-yield bonds and leveraged loans into and out of US midterm elections

Pre and Post-Midterm Election Day Returns (High Yield)

Year	Midterm Date	-12mo	-9mo	-6mo	-3mo	+3mo	+6mo	+9mo	+12mo
2002	5-Nov-02	-2.6%	-5.2%	-7.8%	1.6%	9.6%	21.3%	23.1%	31.4%
2006	7-Nov-06	10.8%	7.8%	5.6%	4.4%	4.0%	6.5%	2.1%	5.6%
2010	2-Nov-10	19.1%	12.7%	6.9%	5.6%	3.0%	6.5%	7.4%	6.1%
2014	4-Nov-14	6.2%	4.3%	0.9%	0.9%	-0.7%	2.0%	0.0%	-0.6%
2018	6-Nov-18	1.6%	1.9%	1.6%	-0.2%	1.8%	5.1%	5.9%	8.2%
2022	8-Nov-22	-12.4%	-9.8%	-4.1%	-5.2%	6.4%	6.6%	9.0%	9.6%
2026	3-Nov-26	2.0%	0.0%	-0.9%	-1.6%				
	Average	3.5%	1.7%	0.3%	0.8%	4.0%	8.0%	7.9%	10.0%

Pre and Post-Midterm Election Day Spread Movement (High Yield)

Year	Midterm Date	-12mo	-9mo	-6mo	-3mo	+3mo	+6mo	+9mo	+12mo
2002	5-Nov-02	36bp	199bp	311bp	-2bp	-160bp	-343bp	-402bp	-503bp
2006	7-Nov-06	-53bp	-30bp	11bp	-28bp	-55bp	-49bp	99bp	159bp
2010	2-Nov-10	-130bp	-56bp	31bp	-56bp	-95bp	-113bp	-30bp	94bp
2014	4-Nov-14	7bp	10bp	70bp	8bp	69bp	14bp	71bp	121bp
2018	6-Nov-18	5bp	4bp	15bp	22bp	42bp	15bp	92bp	50bp
2022	8-Nov-22	144bp	97bp	51bp	16bp	-63bp	11bp	-61bp	-48bp
2026	3-Nov-26	10bp	39bp	35bp	33bp				
	Average	3bp	38bp	75bp	-1bp	-44bp	-78bp	-38bp	-21bp

Pre and Post-Midterm Election Day Returns (Leveraged Loans)

Year	MidtermDate	-12mo	-9mo	-6mo	-3mo	+3mo	+6mo	+9mo	+12mo
2010	2-Nov-10	12.0%	6.3%	2.5%	3.6%	3.9%	5.1%	4.4%	3.2%
2014	4-Nov-14	3.4%	2.0%	1.2%	0.3%	0.1%	2.6%	2.7%	1.7%
2018	6-Nov-18	5.0%	3.4%	2.3%	1.1%	-0.6%	2.2%	3.0%	3.0%
2022	8-Nov-22	-0.8%	-1.5%	-0.7%	0.1%	4.4%	5.4%	9.2%	11.9%
2026	3-Nov-26	4.4%	3.6%	2.5%	1.0%				
	Average	4.8%	2.8%	1.6%	1.2%	2.0%	3.9%	4.8%	4.9%

Pre and Post-Midterm Election Day Spread Movement (Leveraged Loans)

Year	Midterm Date	-12mo	-9mo	-6mo	-3mo	+3mo	+6mo	+9mo	+12mo
2010	2-Nov-10	-187bp	-48bp	40bp	-54bp	-131bp	-129bp	-51bp	63bp
2014	4-Nov-14	-3bp	16bp	19bp	36bp	38bp	-19bp	16bp	94bp
2018	6-Nov-18	-17bp	16bp	17bp	11bp	83bp	34bp	65bp	124bp
2022	8-Nov-22	239bp	237bp	166bp	75bp	-76bp	-41bp	-87bp	-87bp
2026	3-Nov-26	62bp	39bp	19bp	11bp				
	Average	19bp	52bp	52bp	16bp	-22bp	-39bp	-14bp	48bp

Source: J.P. Morgan; S&P/IHS Markit

How has the leveraged finance market historically performed in stretches leading into and out of the US mid-term elections? **Historically, leveraged finance has produced tepid performance in the months leading into midterms and then performed quite well in the 3 and 6-month stretch following the election outcome**. **For example, the 3-months leading into the past six midterms produced an average gain of +0.8% for high-yield bonds, which improved to +4.0% and +8.0% in the 3 and 6-months following the election outcome.** In spread terms, high-yield bonds were flattish in the 3-months leading into the election and on average -44bp and -78bp tighter in the 3 and 6-months following the election outcome. **However, we believe there were often other more important factors to blame, which coincided with these election outcomes, including significant rate moves, Fed policy uncertainty, seasonality, and global growth concerns.** For example, high-yield bonds and leveraged loans posted returns of -5.2% and +0.1% in the 3-month stretch leading into the last midterms in November 2022, and managed subsequent gains of +6.4% and +4.4% in the 3 months following the election outcome. **However, the volatility had very little to do with the election.** Instead, festering growth concerns and a surge in rates amid hawkish central banks were

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

the root cause for the weakness. And leveraged finance posted strong returns in October 2022 even ahead of the midterms. **Similarly, the November 2018 midterms coincided with a surge in market volatility** as risk assets were being challenged by slowing global growth indicators, a Fed rate hike cycle, abundant Oil supply, and unresolved trade to list a few. And the November 2014 (QE3 conclusion, global growth fears) and 2010 (Bull market) elections also coincided against backdrops where risk sentiment was determined by factors beyond election uncertainty. **In terms of the direct impact on credit investors stemming from the midterms, we believe the effect will vary by sub-sector and will be dependent on whether control shifts in Congress.**

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

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High Grade Strategy

The 2026 midterm elections arrive at a time when credit markets are contending with three dominant macro themes: Strong growth yet at the same time very large fiscal deficits, which in turn means elevated Treasury supply alongside one of the largest debt-funded capex cycles ever driven around AI. All of these themes are arguably rooted in policy decisions, with for example the 2025 OBBA arguably driving some of the AI capex (accelerated depreciation) alongside some of the deficit (lower tax rates) but the lead times between policy and markets are long and varied, with many other factors also at play at any one point in time. Most notably is the Fed reaction function and we demonstrate inside that over time Fed stance is a far more important variable than the color of Washington D.C. In other words, while the 2026 mid-term election outcome could influence regulation, industrial policy and consumer-focused legislation, we continue to believe that global growth, interest rates and corporate earnings remain the primary drivers of US credit performance.

Unlike presidential elections, the midterms are fundamentally a question of congressional control. Republicans currently control both the House and Senate, meaning the election will determine whether that framework remains intact, shifts toward divided government or moves toward Democratic control of both chambers. The resulting implications for credit are unlikely to be uniform across sectors, but instead flow through a relatively small number of policy transmission channels.

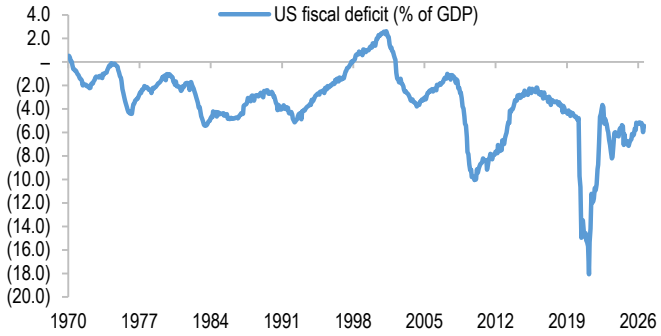
Transmission channel #1: Fiscal policy, Deficits and Treasury supply

For broad credit markets, the most important election-sensitive variable remains fiscal policy. The key question is not whether deficits remain elevated, but whether the election outcome increases or decreases the willingness of Congress to pursue additional spending initiatives, tax changes or fiscal packages. From a credit perspective, the impact is ultimately expressed through Treasury supply, rates and refinancing conditions. Credit spreads have remained resilient despite historically elevated Treasury issuance, but continued deficit expansion could keep upward pressure on long-end financing rates and increase competition for investor demand.

Importantly, none of the potential election outcomes appear likely to fundamentally solve the deficit issue in our view. The robust growth backdrop post COVID has been fertile ground for both Republican and Democratic administrations to enact deficit reduction measures yet little progress was achieved so it's hard to speculate on how any potential midterm outcome materially changes this dynamic. A Republican status quo scenario could create a more supportive backdrop for fiscal expansion and tax relief, while a Democratic sweep could increase the probability of additional spending programs tied to affordability, housing or industrial initiatives. Divided government likely produces the least legislative change but not necessarily meaningfully lower deficits. This in turn has significant longer term implications for credit spreads that are mostly positive; for more details please see 'An empirical look at the implications of rising fiscal deficits on credit spreads'.

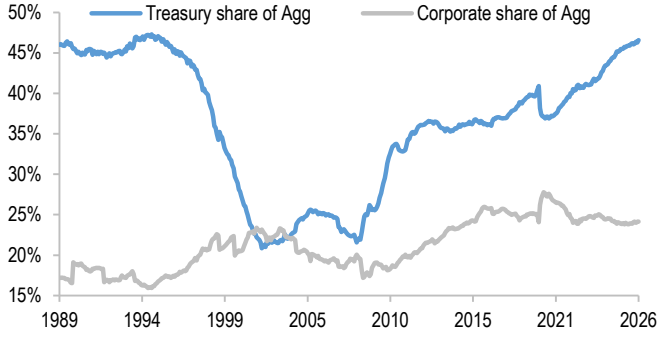
Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

Figure 1: Strong growth hasn't shrunk the deficit



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 2: Large deficits have significant implications for market structure, leading to the 'crowding out' thesis



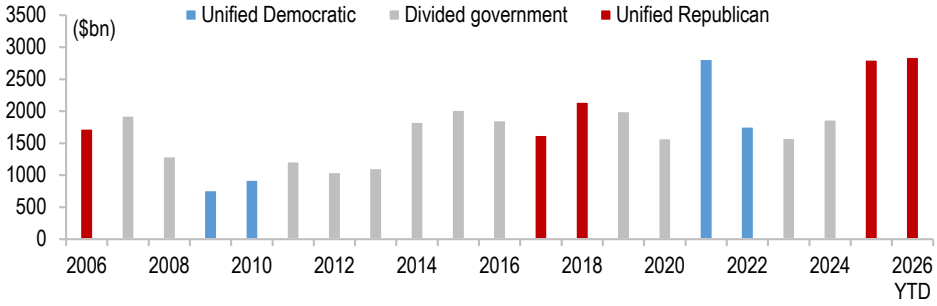
Source: Bloomberg Finance L.P., J.P. Morgan

Transmission channel #2: Regulation and M&A create the greatest election-sensitive dispersion

While fiscal policy represents the broadest credit transmission channel, regulation and M&A is probably the more potent channel. Regulatory decisions do in many cases drive capital allocation decisions, e.g. M&A approvals, antitrust scrutiny and therefore industry consolidation ultimately influence leverage, issuance needs and event risk.

Sector wise, this channel appears particularly relevant for Financials, Media, Cable, Telecom and portions of Technology. Republican status quo likely continues the current supportive backdrop for M&A. Democratic gains would likely increase congressional oversight, hearings and transaction scrutiny. However, there is a key difference between whether or not an M&A deal materializes and whether or not it involves consequential debt financing, with the latter being once again more a function of Fed policy than political backdrop (we've discussed the up-in-quality nature of M&A financing this year in HG here, arguably a function of higher rates and not Republican control of DC).

Figure 3: Announced M&A transaction volumes over the past 20 years



Source: Bloomberg Finance L.P., J.P. Morgan

Transmission channel #3: Trade and industrial policy create the clearest winners and losers

Trade policy is another transmission channel capable of creating meaningful sector divergence. Tariffs and industrial policy can directly affect pricing power, domestic competitiveness and industry economics. The election outcome could therefore have a disproportionate impact on sectors such as Metals & Mining, Autos, Packaging,

Chemicals and Consumer.

A Republican status quo scenario would likely remain most supportive of domestic manufacturing, reshoring initiatives and keep tariff-related volatility elevated. Democratic gains would likely place greater emphasis on affordability considerations and potentially reduce support for further protectionist measures.

Transmission channel #4: Consumer affordability remains the key fundamental variable

'Affordability' has emerged as a critical election topic all the while our various measures of consumer spending and corporate earnings suggest the average consumer is not pulling back on their spending in light of affordability concerns. That said, it's likely that the midterms could lead to new policies focused on this issue, be it in the realm of welfare benefits, immigration policy or tax policy. These would likely have an outsized impact on the Consumer, Housing and Auto sectors.

Transmission channel #5: AI infrastructure investment is a key policy focus area yet likely to remain steady post-election

The most important investment theme across credit continues to be the buildout of AI infrastructure, including data centers, power generation, and transmission networks. While election outcomes may influence permitting timelines, oversight or regulatory frameworks, none of the potential outcomes appear likely to materially alter the underlying demand trajectory.

The distinction is important because many of the largest investment decisions currently underway are being driven by private-sector capital allocation rather than direct government spending. As a result, election outcomes may affect the pace of implementation but are less likely to affect the overall direction of investment. Thus, in contrast to the previous three channels, AI infrastructure remains one of the most durable investment themes across election outcomes, though the pace, geographic concentration and permitting environment could vary under different political configurations.

Figure 4: Scenario analysis for the different transmission channels

Transmission Channel	Blue Wave	Split Congress / Gridlock	Republican Status Quo
Fiscal Deficits & Treasury Supply	More spending initiatives but deficits likely remain elevated	Least legislative change	Tax relief / fiscal expansion remains more likely
Regulation & M&A	Greater oversight, hearings, merger scrutiny	Limited change	Most supportive backdrop for M&A and consolidation
Trade & Industrial Policy	Less emphasis on protectionism; more allied trade integration	Limited legislative change	Most supportive of tariffs, reshoring and domestic manufacturing
Consumer Affordability	Greater focus on housing, SNAP, affordability initiatives	Incremental policy change	More market-oriented / supply-side approach
AI Infrastructure	More scrutiny of data centers, environmental and affordability concerns	Current trajectory largely maintained	Continued policy support but increasing local/community resistance

Source: J.P. Morgan.

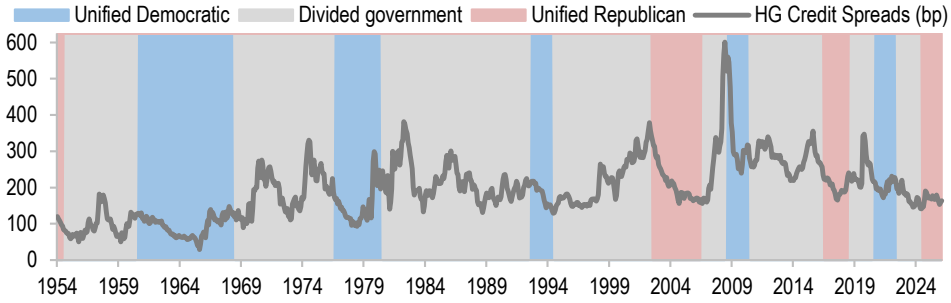
Elections and HG spreads

Looking more specifically at the evolution of HG spreads under different political outcomes, our overarching conclusion is that using the political backdrop as the main driver for risk positioning in HG credit is not a fruitful strategy. Over time, there have been many different spread regimes under similar political backdrops. Recent polling data points towards divided government being the most likely outcome this time around and as evidenced below, divided government has been the most likely backdrop for much of the post-war era. As we demonstrate further below, we believe the right way to think about policy is through the lens of Fed policy; political decisions often appear to

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

lead to subsequent Fed actions/reactions but the lead times on this are long and varied and therefore HG credit spreads most often take their cue from the Fed rather than the underlying prior policy drivers.

Figure 5: HG spreads across political backdrops



Source: Bloomberg Finance L.P., J.P. Morgan

Below, we review all midterm elections since 1954 and the associated change in credit spreads in the period immediately following the election. The top rows represent the potential outcomes this time around (Republican presidents) whereas the botttom rows are under Democratic presidential administrations so are just presented for reference and completeness. There has been a very large range of HG market outcomes post Republican midterm elections, with the worst for spreads being 2018 and the best being 2002:

Figure 6: Post-midterm spread outcomes vary across political configurations

Post-election political control	Midterm year(s)	Reference spreads by year (bp)	3M changes by year (bp)	Mean post-election 3M change (bp)
R president / D Senate / D House	1954, 1958, 1970, 1974, 1986, 1990, 2006	1954 (103), 1958 (112), 1970 (200), 1974 (258), 1986 (281), 1990 (134), 2006 (91)	1954 (-19), 1958 (-27), 1970 (50), 1974 (73), 1986 (-17), 1990 (20), 2006 (-7)	10
R president / R Senate / D House	1982, 2018	1982 (382), 2018 (115)	1982 (-34), 2018 (9)	(13)
R president / R Senate / R House	2002	2002 (235)	2002 (-68)	(68)
D president / D Senate / D House	*1962, 1966, 1978*	*1962 (106), 1966 (109), 1978 (95)*	*1962 (2), 1966 (30), 1978 (8)*	*13*
D president / R Senate / R House	*1994, 1998, 2014*	*1994 (74), 1998 (145), 2014 (119)*	*1994 (2), 1998 (-34), 2014 (15)*	*(6)*
D president / D Senate / R House	*2010, 2022*	*2010 (168), 2022 (150)*	*2010 (-20), 2022 (-34)*	*(27)*

Source: Bloomberg Finance L.P., J.P. Morgan

Below, we show a chronology of each of these midterms separately, with the associated HG market reaction:

Figure 7: IG spread outcomes following each midterm election

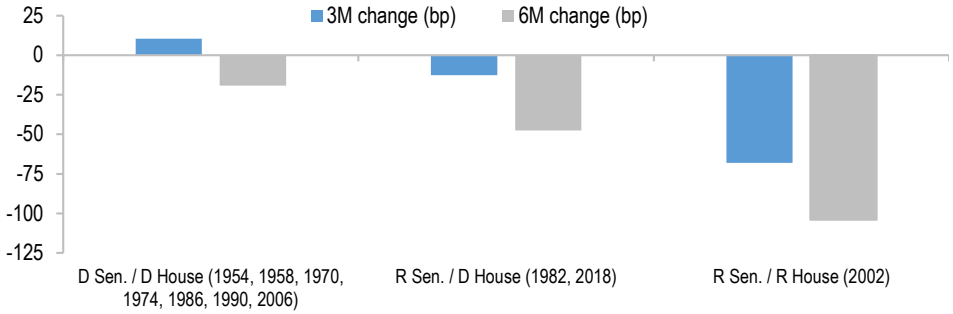
Post-election political control	Midterm year	Reference spread (bp)	Post-election outcome (3M, bp)
R president / D Senate / D House	1954	103	(19)
R president / D Senate / D House	1958	112	(27)
D president / D Senate / D House	*1962*	*106*	*2*
D president / D Senate / D House	*1966*	*109*	*30*
R president / D Senate / D House	1970	200	50
R president / D Senate / D House	1974	258	73
D president / D Senate / D House	*1978*	*95*	*8*
R president / R Senate / D House	1982	382	(34)
R president / D Senate / D House	1986	281	(17)
R president / D Senate / D House	1990	134	20
D president / R Senate / R House	*1994*	*74*	*2*
D president / R Senate / R House	*1998*	*145*	*(34)*
R president / R Senate / R House	2002	235	(68)
R president / D Senate / D House	2006	91	(7)
D president / D Senate / R House	*2010*	*168*	*(20)*
D president / R Senate / R House	*2014*	*119*	*15*
R president / R Senate / D House	2018	115	9
D president / D Senate / R House	*2022*	*150*	*(34)*

Source: Bloomberg Finance L.P., FRED, J.P. Morgan

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

Below, we break out just the elections where Republicans had the presidency and look at the average HG spread change 3m and 6m post midterm. On balance, the occurences where Democrats swept both the House and Senate were initially negative for spreads but then turn positive within a few months whereas the occurences where Republicans retained either partial or full control were more positive outcomes for spreads, though we caution that the sample set for the first scenario is 7x larger than the sample set for the last scenario so we don't think it is wise to draw strong conclusions from this analysis on its own.

Figure 8: 3m/6m IG spread change by post-midterm Senate/House control under Republican presidents



Source: Bloomberg Finance L.P., FRED, J.P. Morgan

The Fed is the more important DC institution for HG spreads

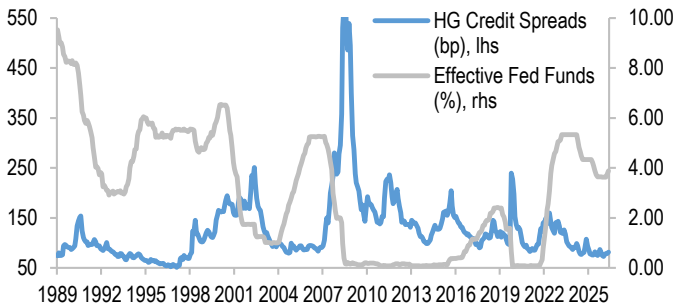
In our view, the right way to frame political backdrops and HG spread impacts is through the lens of the Fed. In order to translate this view into a quantifiable framework, we ran a regression analysis of HG credit spreads over our entire sample since 1954 against two simple variables: Fed Policy and Government Control. Fed policy is coded −1 for easing, 0 for unchanged and +1 for tightening based on the change in Fed Fund effective rate as well as balance sheet changes since 2008 to account for the QE/QT periods where Fed Funds was unchanged but policy was in fact tighter/looser. Government control is coded −1 for unified Democratic control, 0 for divided government and +1 for unified Republican control in each month. **The results below clearly indicate that Fed policy has a statistically significant relationship with spread changes (p=0.006), while government control does not (p=0.411).** Thus, we believe investors should focus their political analysis on sector and issuer trends rather than broad market risk positioning. Sector impacts are detailed in the sections below.

Figure 9: Fed policy is statistically significant for HG spreads vs government control is not

Variable	Spread effect (bp)	p-value
Fed policy	-3.15	0.006
Government control	0.88	0.411

Source: Bloomberg Finance L.P., FRED, J.P. Morgan

Figure 10: Fed policy versus HG spreads



Source: Bloomberg Finance L.P., FRED, J.P. Morgan

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

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US Credit Selected Trade Ideas

Table 1: Picks in HG credit

Sector	Type	Analyst	Ticker	Company	Coupon	Maturity	Description	Ratings	Pricing			Rationale
									Price	Yield	STW	
Automotive	Pick	Piascik	F	Ford Motor Credit	6.532%	2032	Sr. Unsec. Notes	Ba1/BBB-	$100.00	6.53%	152bp	■ North America-focused OEM with limited finished vehicle tariff exposure ■ See path to IG ratings stabilization in 1H27, but execution risk is material ■ See fair value as 50-70bp wide to GM v. 60-70bp for the Ford '32s
Manufacturing	Pick	Piascik	GEV	GE Vernova	5.500%	2056	Sr. Unsec. Notes	NR/BBB	$89.25	6.32%	72bp	■ Manufacturer of gas turbines, grid equipment to support power generation ■ Gas power backlog is 116 GW, agreements now extending into 2031 ■ Believe GEV can trade ~flat with ETN (currently ~15bp tight to GEV)
Consumer	Pick	Casella / Musheyev	JBS	JBS NV	6.500%	2052	Sr. Unsec. Notes	Baa3/BBB-	$93.00	7.10%	148bp	■ Global meat producer; diversified by protein & geography, reduces US risk ■ Consumers focused on protein; mgmt focused on reducing leverage ■ Greater labor supply (less immigration crackdown) would be net positive
Aerospace & Defense	Pick	Abebe	RTX	RTX Corp	6.400%	2054	Sr. Unsec. Notes	Baa1/BBB+	$100.88	6.34%	73bp	■ Balanced portfolio of ~50/50 commercial aerospace/defense ■ If defense budgets are reduced, balanced portfolio should mitigate impact ■ Commercial aero business to benefit from OEM production rate increases
Energy	Pick	Anavy	CVECN	Cenovus	4.650%	2031	Sr. Unsec. Notes	Baa1/BBB	$95.63	5.78%	79bp	■ CVECN remains attractive, supported by its integrated ■ E&P and refining portfolio, which should remain resilient ■ across most political scenarios.
Metals/Mining	Pick	Chandar	STLD	Steel Dynamics	5.250%	2035	Sr. Unsec. Notes	Baa2/BBB	$94.63	6.07%	88bp	■ Midterm election could impact tariff and environmental narrative ■ Positioned to benefit from higher steel prices and greater environmental focus ■ Looks cheap 20bp wide to NUE
Power & Utilities	Pick	Kwan	AEP	American Electric Power	6.050%	2056	Jr. Sub Notes	Baa3/BBB-	$94.00	6.95%	173bp	■ Multi-state jurisdiction provides for geographic diversity. ■ C&I customers helps insulate AEP from potential pause on data centers. ■ >2x spread pickup vs senior notes; Coupon floor of 6.05%.
Technology	Pick	Spear	INTC	Intel Corp.	6.125%	2056	Sr. Unsec. Notes	Baa2/BBB	$90.88	6.85%	125bp	■ Likely to benefit from efforts to onshore Semiconductor manufacturing in the US ■ Continuing to make progress on proving the foundry concept ■ Government owns stake; 14A on track; external customers coming
Cable & Media	Pick	Spear	CHTR	Charter Communications	7.850%	2056	Sec. 1L Notes	Ba1/BBB-	$92.50	8.55%	295bp	■ Midterm impacts on Cable sector appear relatively limited ■ Deleveraging but subs declines expected to continue ■ Could see financial policy upside once a new permanent CFO is hired ■ SKYD new issue overhang cleared
Chemicals	Pick	Rosenthal	CF	CF Industries	5.300%	2035	Sr. Unsec. Notes	Baa2/BBB	$94.50	6.11%	90bp	■ Sales concentrated in NAM (~85%); cost-advantaged assets (US natural gas) ■ Focused on Nitrogen, which typically must be applied annually (unlike potash, phosphate) ■ Prefer to express long risk via CF '35s currently trading wide to NTRCN '35s
Banks	Pick	Caprihan	COF	Capital One Financial	5.399%	2037	Sr. Unsec. Notes	Baa1/BBB+	$93.13	6.39%	118bp	■ Trades wide to super regional banks, we think should flat to TFC ■ Consumer strong and we expect to remain irrespecitve of elections ■ Capital levels strong and higher than super regional banks.
Real Estate	Pick	Streeter	INVH	Invitation Homes	4.875%	2035	Sr. Unsec. Notes	Baa2/BBB	$91.25	6.25%	107bp	■ Higher interest rates support demand for SFR as housing affordability falls ■ ROAD to Housing Act carved out SFR build to rent platforms, unlikely to be rolled back ■ GSE activity provides unique backstop financing not available to most REIT property investors

Source: J.P. Morgan. Note: These picks and pans are tied to the potential outcome of US midterm elections and may veer from our fundamental credit ratings. For our rationale for our credit ratings, please see our last coverage report or our latest company note, which can be found on http://jpmm.com.

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

Table 2: Pans in HG Credit

Sector	Type	Analyst	Ticker	Company	Coupon	Maturity	Description	Ratings	Pricing			Rationale
									Price	Yield	STW	
Retail	Pan	Casella / Musheyev	KR	Kroger Co.	5.800%	2032	Sr. Unsec. Notes	Baa1/BBB	$100.63	5.68%	68bp	■ Competitive environment driving share losses to dollar, mass, and club ■ Cost inflation as much a concern as consumer pressure (for margins) ■ Capial allocation risk in new strategic review - has favored equity in past
Energy	Pan	Anavy	HAL	Halliburton	2.920%	2030	Sr. Unsec. Notes	A3/BBB+	$91.88	5.62%	68bp	■ HAL is a tightly valued, U.S.-focused oilfield services company ■ Five-year spreads appear too tight and could underperform ■ amid tougher regulation or lower commodity prices.
Power & Utilities	Pan	Kwan	VST	Vistra	7.750%	2031	Sr. Unsec. Notes	Ba1/BBB-	$103.00	6.13%	133bp	■ 5yr bonds rich vs the curve. ■ Power fundamentals remain strong, but VST levered to DC growth. ■ Texas large load generation build could be slower than expected.
Technology	Pan	Spear	NVDA	NVIDIA	5.625%	2056	Sr. Unsec. Notes	Aa1/AA	$86.13	6.71%	111bp	■ Heavy exposed to AI supercycle ■ Spread weakness driven by AI supply overhang, continued residual value support for speculative credits, data center delay risk ■ Expect continued underperformance throughout 2027
Cable & Media	Pan	Spear	META	Meta Platforms	6.300%	2056	Sr. Unsec. Notes	Aa3/AA-	$87.25	7.37%	177bp	■ Technical headwinds stronger than ever ahead of potential near-term supply and expectations for continued heavy FY27 hyperscaler issuance ■ Likely exposed to more oversight re social media if Dems retake Congress
Chemicals	Pan	Rosenthal	MOS	Mosaic	5.625%	2043	Sr. Unsec. Notes	Baa2/BBB	$88.13	6.81%	128bp	■ Elevated raws (sulfur), challenged NAM farmer affordability, poor BRZ farmer credit quality, El Nino uncertainty ■ Sizable decrementals likely from further Phosphate asset idling (Florida, Louisiana, BRZ) ■ Credit risks mounting; spreads should widen towards petchem Fallen Angel peers (LYB, DOW)

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Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

Table 3: Picks in HY Credit

Sector	Type	Analyst	Ticker	Company	Coupon	Maturity	Description	Ratings	Pricing			Rationale
									Price	Yield	STW	
Retail	Pick	Casella / Musheyev	KSS	Kohl's Corp.	5.550%	2045	Sr. Unsec. Notes	B3/BB-	$66.50	9.38%	378bp	■ Department store with greater low-income exposure but solid balance sheet ■ Reduced tariff risk and any stimulus for low-end consumer would be + ■ Mgmt has been prioritizing debt paydown with 100% of its FCF
Automotive	Pick	Steiner	CVNA	Carvana	9.000%	2031	Sec. 1L Notes	B1u/BBu	$107.50	6.76%	180bp	■ Online used car retailer continuing to take share from competitors ■ Should be a beneficiary of any incremental consumer affordability measures ■ Should see more transactions on higher off-lease volumes and elevated new car ATPs
Media	Pick	Steiner	STGW	Stagwell	5.625%	2029	Sr. Unsec. Notes	B2/BB-	$96.25	7.11%	221bp	■ Platform agnostic agency should continue to grow despite secular headwinds ■ Advocacy businesses should benefit from fractured electorate / divided gov't ■ Cessation in hostilities and/or improving affordability shold benefit ad spend
Paper / Packaging	Pick	Chandar	CCK	Crown Holdings	5.875%	2033	Sr. Unsec. Notes	Ba2/BB+	$96.63	6.51%	140bp	■ Bev can packaging least energy intensive ■ Beneficiary if Midterm elections lead to more environmentally friendly policy ■ Looks cheap 20bp wide to BALL
Power & Utilities	Pick	Kwan	AES	DPL LLC/Ohio HoldCo	4.350%	2029	Sr. Unsec. Notes	Ba1/BB+	$96.00	6.10%	124bp	■ Bipartisan support for grid enhancements in Ohio. ■ Transmission and distribution assets are insulated from DC growth. ■ Positive outlook from Moodys could see first IG rating since going to HY
Chemicals	Pick	Rosenthal	CE	Celanese	6.750%	2033	Sr. Unsec. Notes	Ba2/BB	$99.38	6.87%	177bp	■ Relatively lower-beta earnings profile v. Commodity Chemical peers ■ Ample free cash flow generation even at BOC conditions ■ Management commitment to further improve the balance sheet (recent divestitures)
Healthcare	Pick	Parekh	CYH	Community Health	5.250%	2030	Sec. 1L Notes	B3/B-	$91.75	7.94%	299bp	■ Given the challenges hospitals may face in 2028, we believe providers should be prudent with their capital structure and consider their refi options now ■ Waiting until next year shifts the focus from the current macro environment to the impact of the OBBBA and could mean the difference of 50-100bps to their cost of capital
Energy	Pick	Hamid	VENLNG	Venture Global	6.625%	2036	Sec. 1L Notes	B1/BB	$96.25	7.17%	194bp	■ The company's three major projects are all approved ■ Expansion projects will likely FID under the current Administration ■ Uniquely positioned a strategic geopolitical asset given spot LNG volumes
Transportation	Pick	Streeter	AAL	American Airlines	5.000%	2031	5yr CDS	B+/B+	-	-	500bp	■ NY Harbor Jet Fuel has more than doubled YTD, 5yr spreads widened ~105bp as a result ■ Resolution in the Middle East will support this high fuel beta credit ■ Gross debt has declined ~$12bn from peak, $10bn+ of unencumbered assets
Gaming/Leisure	Pick	Pace	PENN	PENN Entertainment	6.750%	2031	Sr. Unsec. Notes	B3/B	$97.75	7.35%	236bp	■ If Sports-based event contracts are stricken down, then traditional gaming operators will benefit ■ PENN as one of the wider trading names in regional gaming would benefit as leverage continues to tick down

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Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

Table 4: Pans in HY credit

Sector	Type	Analyst	Ticker	Company	Coupon	Maturity	Description	Ratings	Pricing			Rationale
									Price	Yield	STW	
Retail	Pan	Casella / Musheyev	ACI	Albertsons Cos	3.500%	2029	Sr. Unsec. Notes	Ba2/BB+	$93.13	6.62%	177bp	■ Competitive environment driving share losses to dollar, mass, and club ■ Cost inflation as much a concern as consumer pressure (for margins) ■ Capial allocation risk in new strategic review - has favored equity in past
Paper / Packaging	Pan	Chandar	ARGID	Ardagh Group	9.500%	2030	Sec. 1L Notes	B3/B	$102.00	8.75%	392bp	■ Exposed to European nat gas in 2027, inflation pressure to weigh on margins ■ Trades 200bp inside of OI '33s, OI 50% hedged in euro nat gas for 2027 ■ Midterm outcome likely to impact timing of war de-escalation / gas prices
Housing	Pan	Chandar	MASBRA	MasterBrand	7.000%	2032	Sr. Unsec. Notes	B1/BB	$93.25	8.50%	344bp	■ Repair/remodel activity likely to remain muted on elevated rates ■ Housing affordability policy initiatives heading into the election remain a focus ■ Expect cabinet pricing to remain under pressure, focus on value-engineering
Chemicals	Pan	Rosenthal	TROX	Tronox	9.125%	2030	Sec. 1L Notes	B2/B	$92.50	11.54%	657bp	■ TiO2 remains oversupplied (global ADDs falling short of intended effect; European capacity ramping) ■ Demand extremely low and unlikely to provide sufficient relief (would require rapid, material tailwind); NAM ~26% of 2025 sales ■ Cash flow implications from re-ramping assets into YE26; Liquidity optionality diminished
Telecom	Pan	Egan	LVLT	Lumen Tech	6.875%	2033	Sec. 1L Notes	Ba3/B+	$95.75	7.69%	258bp	■ Limits on the building of Data Centers has become an election issue ■ A Blue Wave could slow the building of AI infrastructure ■ That could reduce hyperscaler spending on Lumen's fiber capacity
Technology	Pan	Hamid	TRACTD	Fleet	6.500%	2031	Sec. 1L Notes	Ba1/(P)BB	$90.50	9.15%	416bp	■ Limits on the building of Data Centers has become an election issue ■ A Blue Wave, especially at the state and local level, could delay buildouts ■ Delayed building could have a negative impact on TRACTD revenues
Healthcare	Pan	Parekh	MOH	Molina	6.500%	2031	Sr. Unsec. Notes	Ba2/BB-	$99.25	6.70%	171bp	■ We believe payors, specifically managed care plans, will be targeted post midterms ■ States may focus on budget cuts post midterms, MCOs may see an impact

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Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HY Healthcare

Rishi Parekh AC
rishi.parekh@jpmorgan.com
(1-212) 622-2379

Rachel Barish
rachel.barish@jpmorgan.com
(1-212) 270-0970

J.P. Morgan Securities LLC

The effect of the midterms may vary by sub-sector and will be dependent on whether control may shift in Congress. A shift in power may mostly result in increased messaging ahead of the 2028 presidential elections, and any material change to previous legislation would result from the need to pass other initiatives. If there is no shift in power, we believe the Administration will take action on prior proposed initaitives and may continue to target a broad spectrum of issues related to fraud, waste and abuse. Below we review several scenarios and topics.

If the Dems control the House and Senate. First, we believe the Dems would consider a reconciliation bill to tackle a number of areas ahead of the 2028 primaries (for messaging / campaigning) that will include Healthcare/Pharma. We assume it will include a reversal of HR1, reinstating ACA subsidies, including more aggressive drug pricing, and/or adjustments to the NSA. We believe they would limit targeting hospitals until there is a resolution around HR1. So we assume they will heavily focus on payors (i.e, upcoding in MA, etc.) and drug pricing (steer the narrative). While the bill may be vetoed, the focus will be on messaging ahead of the 2028 presidential elections. We assume M4A will pick up but may quickly lose steam. That said, it seems we may be hearing of primary care for all (costly but funding may come through FMAP adjustments). On an ongoing basis, we expect tweaks or smaller initiatives to attempt to chip away at the edges of HR1.

If Dems only control the House or Senate. We expect to see minor messaging initiatives, but expect little movement on either side and little credible movement or negotiations to repeal or delay HR1.

If Republicans maintain control/increase control. While there will be a focus on 2028, we believe the Administration may become more aggressive with drug pricing and other healthcare initiatives. It is our understanding that the more budget conscious folks would likely push for further controls around Medicaid (FMAP, etc.) and may shift focus to other cost saving initiatives (ranging from site neutral to payors). Ultimately, full Republican control may be more negative for healthcare and pharma credits given the possible policy outcomes.

Other major topics

Drug pricing. Regardless of the midterm outcome, we expect drug pricing to remain a major target for both parties. For example, we may see an expansion of the IRA. If the Democrats take control, we assume they will attempt to control the dialgue with drug pricing that may also include transparency into MFN contracts, further PBM regulation, restricting patent gaming and cuts to certain pilots (including the 340B pilot program). If Republicans maintain control, we assume the President may attempt to codify MFN, push for IRA expansion, expand on certain models, and continue to build on TrumpRx. Expected savings may be in the hundreds of billions.

OBBBA. The two primary areas of focus are work requirements and SDP cuts. As of now, given the votes needed, we do not expect any major cuts to these programs. However, there are a few areas of focus. ***First,*** if the Dems control Congress, we expect their message to reverse HR1 to remain consistent (expect it to be vetoed). ***Second,*** we do not believe there is a path to terminating the OBBBA before 2028, implying there

may be at least 1 year of cuts (or 1.5 years). ***Third,*** one theory we vetted was whether the Trump administraiton would use a delayed implementation or adjustments to the SDP cuts as a carrot when negotiating for other initiatives. Based on our conversations, the consensus view believes that it could be a strategy, but all believe that it would be a delay rather than a reversal. That said, there are many influential groups supporting HR1 and budget conscious opponents may derail negotiations (which begs the question of whether there is a path to reversal even if the Dems control the White House). ***Fourth,*** while many rural hospitals need to close, the lobbying and interest groups will leverage this "risk" to advocate for changes to support the larger institutions that have also become very dependent on these SDPs to plug their budgetary gaps. ***Fifth,*** there is the question of how Dems plan to "cover" the cost to reversing the phase down of SDP cuts/ provider taxes. We assume this will intensify the conversations/debates surrounding drug pricing and payors. ***Sixth,*** we do not believe there is significant support to continue or expand MCO taxes. ***Seventh***, as we discussed in Nashville, we believe the SDP cuts may impact provider subsidies, or at least it will be interesting to see how both hospitals and physician staffing companies balance this issue.

Payors. Considering hospitals have already been targeted under HR1, we believe payors will be targeted if Dems control Congress, and we expect a step up in hearings. Areas that may be under consideration include MA oversight (brokers limits, challenge risk-adjustment data, push for prompt pay, etc.), prior authorization (including ending any AI PA initiatives), additional oversight, and dupcoding ($125bn in savings over 10 years). If Republicans control, we expect nearly similar initiatives but with more continued focus on program integrity and cost-containment issues.

ACA subsidies. As noted above, we expect the Dems to message for reinstatement, possibly with quality metrics or increased scrutiny of member signups. Funding for this may come through drug pricing and payor upcoding legislation. While any proposal is unlikely, we expect the debate around these subsidies to continue through 2028 and provide us with some insight on how it may be tackled in in the event there is a change in administration.

NSA reform will be targeted. Whether we see major changes is the big question. From our understanding, it isn't reasonable to believe that this perceived "gravy train" will continue indefinitely given the cost and bipartisan advocacy supporting change (but there are conflicts at the committee levels). Cassidy has highlighted his focus on reforming the NSA before his term ends, and Rep. Pallone has introduced legislation to eliminate the IDR process (see here). However, it's early and we believe most are still gathering ideas and data. Based on our conversations, the outsized payments 1) have not been aligned with expectations, 2) have not benefited the doctors doing the work, 3) need to be subject to quality metrics, 4) have padded bottom lines, and 5) have not lowered subsidies (that are materially impacting non-for-profit hospitals). Furthermore, there is focus to target arbitrators and third parties (such as HaloMD). The NSA has been described as a "massive revenue generator" and was one of the many reasons to further vet the process and these arbitrators. A legislative fix may take a few years unless there is an immediate need for a sizable payfor (highlighted savings may be sizable over 10 years). While there may be certain fixes to the NSA that could directly benefit docs specifically, any benefit to them will be independent of any potential fix to the PFS.

HG & HY Energy

Tarek Hamid AC
tarek.x.hamid@jpmorgan.com
(212) 834-5468

Matthew Anavy, CFA AC
matthew.a.anavy@jpmorgan.com
(212) 834-3568

Amanda Fischer
amanda.fischer@jpmchase.com
(212) 834-2641

J.P. Morgan Securities LLC

A shift in the balance of power in Washington could change the direction, pace, and implementation of U.S. energy policy. The most relevant policy channels include federal leasing and drilling approvals, pipeline and LNG permitting, environmental regulation, tax treatment, trade policy, and measures intended to address consumer energy costs. The range of possible outcomes should not be framed simply as supportive or restrictive for the industry. Reflexivity is real in commodity markets, and all else equal (which is a very bad assumption for a global commodity), 'supportive' policy tends to drive hydrocarbon costs lower, while 'restrictive' policy tends to drive prices higher. **US Energy policy decisions have historically been less about binary outcomes than trying to tip the proverbial scales on incentives.**

Policies that accelerate permitting, expand access to federal acreage, or provide greater regulatory certainty could improve project economics and shorten development timelines, while tighter emissions standards, higher royalty or bonding requirements, or narrower access to federal lands could raise compliance costs and constrain activity. At the same time, initiatives designed to speed infrastructure construction may benefit producers and midstream operators but could also increase hydrocarbon supply, placing downward pressure on commodity prices, as well as creating local opposition or litigation risk. **We therefore view Washington policy as more likely to affect capital allocation, project timing, and relative winners and losers than to produce an immediate, sector-wide change in credit quality.**

Power demand from AI and data centers is one area where policy could have a second-order impact on natural gas. Policymakers in both parties are focused on reliability, affordability, grid interconnection delays, and whether residential and small-business customers should bear the cost of new generation and transmission. Federal action could seek to accelerate approvals for power plants, pipelines, transmission, and data-center infrastructure, while state utility commissions and local governments may impose separate cost-allocation, siting, water-use, or emissions requirements. **For natural gas producers, pipelines, and generators, faster approvals and clearer rules could support incremental demand and new infrastructure investment; however, requirements that large technology companies fund dedicated generation or grid upgrades could change project economics and favor well-capitalized developers with access to firm gas supply.** Local opposition, permit litigation, equipment constraints, and interconnection backlogs remain important risks even if federal policy changes. **It is worth noting that the demand increase for natural gas from AI and datacenters is not material over the next several years relative to the demand for natural gas to feed LNG.**

Affordability measures aimed at lowering refined product prices reduce refining margins in the near-term, but could have the opposite effect over the longer-term. Washington has pursued fuel-affordability measures when gasoline and diesel prices rose sharply this year. Tools the current administration has used include: temporary tax relief, changes to fuel specifications, emergency waivers, releases from strategic reserves, shipping and logistics relief, and diplomatic or trade actions intended to improve supply. These steps may provide short-term consumer relief but generally do not address structural refining or pipeline constraints (globally), and some could reduce margins for refiners or alter regional product differentials.

Expanded leasing and faster permitting would generally increase the inventory of future drilling opportunities, particularly for companies with federal-land exposure, but the production response would depend on commodity prices, infrastructure access, service costs, and corporate return thresholds. Conversely, reduced acreage availability or more stringent lease terms could raise costs and benefit operators with established private-land positions.

Midstream and LNG companies could be particularly sensitive to changes in FERC reviews, Clean Water Act approvals, National Environmental Policy Act procedures, judicial-review timelines, and Department of Energy LNG export authorizations. Faster/slower decisions could reduce/increase development risk and impact backlog conversion, while additional environmental review or limits on export approvals could delay projects and capital deployment. Environmental policy is another potential swing factor. Changes to methane leak detection, flaring, reporting, fees, and state implementation requirements could alter operating and compliance costs across upstream, gathering, processing, transmission, and storage assets. **Easing requirements could lower near-term costs, while tighter or more durable standards could favor larger operators with modern equipment and established monitoring systems.** Tax policy also bears watching, including the treatment of intangible drilling costs, percentage depletion, depreciation, carbon-capture incentives, clean-fuel credits, interest deductibility, and corporate tax rates. Any revisions would likely have uneven effects across producers, refiners, midstream companies, oilfield-service firms, and integrated majors.

Finally, many federal actions would remain subject to congressional negotiations, agency rulemaking, court review, and state implementation. **As a result, announced policy direction may generate headlines well before implementation or changes to cash flow.** Historically, supportive policy regimes have only marginally helped advance projects, while even the most unsupportive regimes have only marginally slowed down projects. Regardless, if taken to extremes the end result of restrictive policy is likely higher valuations for hydrocarbons and metal in the ground.

HG & HY Cable/Satellite

Michael Pace [AC]
michael.pace@jpmorgan.com
(1-212) 270-6530

Erica Spear [AC]
erica.spear@jpmchase.com
(212) 834-4143

Stanislav Van Genderen
stanislav.vangenderen@jpmorgan.com
(1-212) 834-5481

Quinn Degen
roger.degen@jpmchase.com
(212) 270-0091

J.P. Morgan Securities LLC

Federal broadband policy could influence competition between cable and alternative providers, particularly through infrastructure funding, spectrum allocation and satellite licensing. These decisions could support further expansion by operators such as SpaceX, while changes in M&A oversight could affect cable consolidation. Although the implications for subscriber growth, investment and leverage could be meaningful over time, we expect limited near-term effect on credit fundamentals.

- **The midterms are unlikely to materially affect deployment under the $42.5bn BEAD broadband program, although they could influence the use of remaining funds.** With NTIA having approved all 56 state and territorial final proposals in August, awards across fiber, FWA and satellite technologies, including SpaceX's Starlink, are largely set under the program's technology-neutral framework established in 2025. Republican control of Congress would likely preserve NTIA's discretion over ~$21bn in program savings, while Democratic control of either chamber could increase scrutiny the unspent funds. Democrats argue that the savings should remain with states for non-deployment uses under the 2021 statute, while some Republicans have proposed returning the funds to the Treasury, although support for state retention remains largely bipartisan.
- **For Cable & Satellite providers, spectrum policy is most relevant to satellite broadband and direct-to-device connectivity rather than upcoming wireless auctions.** SpaceX's expanding spectrum portfolio and Starlink capabilities have intensified debate over spectrum sharing, interference protection and competition with terrestrial networks. The administration's support for satellite deployment could facilitate further expansion, while changes in Congressional control could increase oversight of FCC licensing and spectrum allocation decisions. Greater regulatory flexibility could benefit SpaceX and other emergent providers, while tighter restrictions could slow deployment.
- **As broadband competition intensifies and traditional video subscribers decline, industry consolidation remains a longer-term consideration for Cable operators,** including a potential Charter/Comcast Cable combination, as has been speculated. Such a transaction would likely face significant antitrust scrutiny, with Republican control of Congress potentially reinforcing the current administration's more lax merger enforcement approach, while Democratic gains could increase oversight of competition and market concentration. However, merger approvals would remain primarily with the DOJ, FTC and FCC, limiting the direct impact of the midterms on the likelihood of a transaction.

HG & HY Media

Avi Steiner, CFA AC
avi.a.steiner@jpmorgan.com
(212) 270-5512

Erica Spear AC
erica.spear@jpmchase.com
(212) 834-4143

Zackary Weiner
zackary.weiner@jpmorgan.com
(212) 622-6734

Quinn Degen
roger.degen@jpmchase.com
(212) 270-0091

J.P. Morgan Securities LLC

The midterms could influence future Broadcasting and Media regulation, particularly industry consolidation, FCC oversight, and public media funding, though we think outright regulatory changes or reversals of existing rules are unlikely. For credit investors, the most significant implications would likely stem from changes to the M&A environment and associated capital allocation decisions, although the timing and magnitude of such changes would depend on subsequent legislative, state AG, judicial, and regulatory action.

- **Political Advertising - Likely to Be and Remain Robust**: The approaching mid-term elections and their attendant record political advertising spending is set to be a meaningful positive for the local television broadcast groups, which account for a significant portion of the High Yield Media Index (including Skydance-owned CBS and its O&Os), and beneficial, albeit to a lesser extent, for the local radio broadcasters and billboard owners. In particular, we expect record levels of political revenue for the local TV groups, despite the Supreme Court's decision to allow campaign committees to take advantage of lowest unit rate provisions previously applicable solely for political candidates. Looking ahead, should the Democrats regain control of one or both chambers of Congress, thereby forming a divided government with the Republican-controlled White House, we expect political advertising spending will likely pick up, both in terms of the magnitude of dollars allocated to messaging, and in the time placed, with campaigning and messaging likely to start earlier than prior general elections.
- **Regulatory Backdrop - We Expect More Hearings but Little Substantive Change**: Should the Democrats win control of one or both chambers, we expect no immediate impact from a regulatory perspective, particularly as it relates to the Federal Communications Commission and the Department of Justice. Both agencies will continue to be led by previously confirmed Presidential-appointees, including Chairman Carr at the FCC, and Attorney General Blanche at the DOJ. However, a Democrat-controlled legislature could potentially delay the appointment of new FCC Commissioners, including the pending vote for Danielle Thumann Severs, who was nominated by the President to fill the role left vacant by Nathan Simington, although we note the FCC can rule and adjudicate with the current 3 Commissioner make up (2 Republican, 1 Democrat). Should the Democrats take control of one or both chambers, we believe it is likely that scrutiny of the FCC will increase, via greater oversight and hearings. Moreover, agency budgets are set by Congress, and could come under review should the Democrat-led House find issue with the FCC (or other agencies). As to rules that have previously been passed by the FCC, including the August lifting of the National Ownership Cap, we believe it is unlikely that Congress will be able to overturn it or introduce legislation that counteracts recent rulings unless it is signed by the President or the subject legislation has a 2/3rds majority.
- **State AGs - Increasingly in Focus**: While not a top-of-mind consideration in the mid-term elections, State Attorneys General have become increasingly influential, and in some cases determinative, in slowing Media sector M&A, this despite Republican control of the executive and legislative branches since President Trump was elected. Impacted transactions included Paramount Skydance's acquisition of Warner Bros, which necessitated a settlement prior to closing, and Nexstar's acquisition of TEGNA, which is currently subject to a preliminary injunction (and

ongoing court proceedings) on integration as a result of legal action initially taken by a group of State AGs. Concurrent with this midterm election, 30 states are holding elections for attorney general, including 16 states with Democratic AGs and 14 states with Republican AGs. Should more states elect a Democratic Attorney General, we would expect to see more court actions seeking to block and/or challenge Media industry consolidation.

HG/HY Technology

Thomas Egan, CFA AC
thomas.j.egan@jpmorgan.com
(212) 270-2149

Erica Spear AC
erica.spear@jpmchase.com
(212) 834-4143

Natalie Bilyew-Conn
natalie.bilyew-conn@jpmorgan.com
(1-212) 270-7734

Quinn Degen
roger.degen@jpmchase.com
(212) 270-0091

J.P. Morgan Securities LLC

The midterms could influence several policy areas relevant to HG and HY Technology issuers, including semiconductor export controls, domestic manufacturing incentives, antitrust enforcement and AI regulation, although executive branch priorities will remain important. **Growing bipartisan support for data center regulation also presents risks at the state and local levels.** Credit implications will vary by subsector, primarily through changes to revenue growth, investment requirements, operating costs and FCF, with greater exposure among issuers facing regulatory constraints or substantial capital commitments.

- **Growing opposition to data center development could increase regulatory and permitting risks following the midterms,** particularly as concerns around electricity costs, power availability, water consumption and environmental impacts attract greater attention from lawmakers in both parties. **While federal elections could influence Congressional scrutiny of AI infrastructure investment and potential regulatory responses, state and local elections may have more direct implications for project development given their authority over zoning, permitting and certain utility matters.** Additional restrictions, moratoriums or permitting requirements could delay construction and energization, with the greatest direct exposure among HY data center developers (APLD, BLKPRL, CIFR, CLSPRK, CORZ, DDRIVE, EDGCOM, ELKGVP, ELNFOR, FLASHC, GALAXY, MERIDI, PFORGE, SECMOS, TRACTC, TRACTD, WULF, YNDRDC, ZENARC) and HG project finance structures (HUTBPA, HUTRBA, QTSQST, QTSODY, RDMICH, RPLDCI, TXEDCI), where delays could increase carrying costs, defer revenue generation and pressure liquidity. For issuers like hyperscalers, data center operators and semiconductor suppliers, the implications would likely be more indirect, potentially affecting capex timing, infrastructure deployment and demand for AI hardware. We would expect the ultimate credit impact to vary by project maturity, geographic exposure, contractual protections and the ability to absorb development delays.
- **Given their exposure to China, semiconductor export controls and technology transfer restrictions remain important concerns for HG Technology issuers.** Existing restrictions on AI chips and manufacturing equipment have constrained market access for NVIDIA, AMD, AMAT, LRCX, KLAC, CDNS, and SNPS, while changes to licensing and enforcement could further affect sales and investment decisions. **Although both parties broadly support protecting sensitive U.S. technologies, the midterms could influence Congressional scrutiny of how national security objectives are balanced against industry competitiveness.** With primary authority remaining with the executive branch, the midterms are unlikely to materially alter existing restrictions, although increased Congressional scrutiny could influence future licensing decisions and enforcement priorities, with implications for market access, revenue growth and FCF.
- **Recent geopolitical tensions have reinforced the importance of domestic semiconductor manufacturing,** with the conflict in Iran highlighting energy and supply chain vulnerabilities and Mainland China-Taiwan tensions raising concerns over the concentration of advanced fabrication capacity in East Asia. **Domestic production incentives are likely to retain bipartisan support,** although the midterms could influence oversight, funding, and implementation. Continued U.S. investment could benefit Intel, Micron and equipment suppliers such as AMAT,

LRCX and KLAC, but substantial capital requirements, long development timelines and execution risks could pressure FCF and leverage before the benefits of greater supply chain resilience materialize.

- **Antitrust enforcement and regulation of large Technology platforms could remain in focus following the midterms, particularly amid ongoing litigation involving Google, Amazon, Meta and other major HG Technology companies.** Existing cases targeting Search, Digital Advertising, and E-Commerce could result in changes to business practices or structural remedies. The administration has maintained scrutiny of Big Tech despite efforts to streamline merger reviews, while changes in Congressional control could renew attention to legislation addressing platform competition and hyperscaler influence in AI. However, enforcement would remain largely with the DOJ, FTC and courts.
- **Federal AI regulation could gain attention following the midterms as lawmakers weigh safety, transparency and consumer protection against innovation.** Bipartisan proposals have focused on disclosure requirements, safety evaluations and oversight of advanced models, although disagreements persist over federal preemption of state laws and the extent of developer accountability. The administration has favored a more flexible national model, while some Democratic lawmakers support stricter standards. **For IG issuers including MSFT, GOOGL, AMZN and META, new requirements could raise compliance costs and slow AI commercialization,** although consistent federal rules could reduce regulatory complexity. Enterprise software and data analytics providers could face similar obligations as AI adoption expands.

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY Telecommunications

Thomas Egan, CFA AC
thomas.j.egan@jpmorgan.com
(212) 270-2149

Erica Spear AC
erica.spear@jpmchase.com
(212) 834-4143

Natalie Bilyew-Conn
natalie.bilyew-conn@jpmorgan.com
(1-212) 270-7734

Quinn Degen
roger.degen@jpmchase.com
(212) 270-0091

J.P. Morgan Securities LLC

For Telecom operators, the midterms could influence spectrum policy, M&A oversight and infrastructure investment, with longer-term implications for capital allocation and leverage. Potential restrictions on AI and data center development could also weigh on fiber demand across HG and HY issuers, while tower operators remain exposed to changes in carrier spending and consolidation. We nevertheless expect limited near-term impact on credit fundamentals.

- **Spectrum policy remains a key consideration for Telecom operators ahead of the planned Upper C-Band auction and an expanding FCC auction pipeline.** Chairman Brendan Carr recently suggested future auctions could generate more than $100bn in proceeds, while the agency announced plans last week to advance an additional 25 MHz auction and expand spectrum access for direct-to-device satellite services. **Combined with SpaceX's recent spectrum acquisitions and potential emergence as a domestic wireless competitor,** these developments could increase competition for spectrum and pressure carrier capital allocation. Republican control of Congress is likely to favor continuity with the current administration's efforts to expand commercial spectrum availability, while Democratic gains could bring greater scrutiny of auction implementation, particularly around interference protections, aviation safety and coordination with incumbent federal spectrum users. **For the Big Three,** cumulative spectrum spending and associated network investments present the greatest credit risks, potentially complicating leverage and shareholder return objectivesm while additional deployment could benefit tower operators. **For HY telecom issuers,** additional spectrum availability and SpaceX's potential expansion could create incremental competitive pressure, particularly for regional/rural wireless and broadband providers with more limited financial flexibility.
- **Consolidation of wireless, fiber and tower assets remains a potential source of M&A activity, although transaction approvals will continue to depend primarily on DOJ, FTC and FCC review rather than Congressional control.** A Democratic majority could intensify scrutiny of market concentration and consumer pricing, while Republican control would likely preserve existing enforcement priorities. Consolidation among High Yield credits would likely be small enough to fly under the radar of federal anti-competition overseers, **though the exception might be if one of the larger aforementioned IG Tech or Telecom firms seeks to acquire a HY firm.** That said, acquisition financing, rising interest rates and incremental leverage are likely more relevant than the election itself, particularly as AT&T, Verizon and T-Mobile balance deleveraging commitments against upcoming spectrum spending. Tower operators could also pursue portfolio consolidation or asset sales, with the midterms having limited direct influence on transaction activity.
- **Tighter AI and data center regulations could have broader implications for telecom infrastructure providers,** particularly if restrictions on construction, power consumption or environmental impacts delay development and associated network investment. HY issuers such as LUMN ZAYO and UNIT are particularly exposed given substantial investment in long-haul fiber and data center connectivity, where project delays could defer revenue and weaken returns on committed capital. Among IG issuers, Equinix and American Tower's CoreSite business could see slower leasing and interconnection growth.

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY Financials

Kabir Caprihan, CFA AC
kabir.x.caprihan@jpmorgan.com
(1-212) 834-5613

Alex Stassis, CFA
alex.stassis@jpmorgan.com
(1-212) 622-1735

J.P. Morgan Securities LLC

For Financials the key consideration is whether a Blue Wave could reverse the deregulation agenda that has been set forth by the Federal Reserve as well as other regulatory agencies. The regulatory environment has eased for banks over the last two years as we have seen several proposals and rules pass that reduced capital requirements, reduced stress test volatility, enabled banks to expand their balance sheets, and, importantly, encouraged consolidation among regional banks. This deregulation agenda has allowed banks to expand ROTCE which has resulted in higher equity prices and tighter spreads.

The deregulation agenda and policy is adminstered by the Federal Reserve, and there is little evidence that the current will be altered with a blue wave. The Fed recently finalized its changes to the stress test process, providing more transparency and reducing capital variability over time. We view the outcome as credit positive since sharp movements in capital requirements in every test increases uncertainty and forces management teams to hold a buffer over a buffer. We await the finalization of the Basel 3 end game and proposals on liquidity ratios. We don't think any of these proposals will be impacted by the mid-term elections.

However, a divided Congress or a Blue Wave would definitely reduce consolidation activity within regional banks. We have argued for a while that regional bank consolidation is likely necessary for the sector as deposit competition, cost structure, and branch synergies will likely compel management teams to increase scale and compete in the national market. The current adminstration has been quick to approve transactions making it a favorable deal environment. We note that some management teams do note that the prior administration was not as supportive of bank mergers and thus the deal approval process was lengthy and in some cases difficult to overcome.

Some federal agencies, like the CFPB, have become less active in the current administration. A Blue Wave could make such agencies take a more active role and thus result in more consumer protection laws, deposit sweeps or limiting credit card late fees. The trend over the last few years has been less regulation, fines, and protectionism which has resulted in loan growth, increased profitability and returns. Thus, the market could be very sensitive to increased regulation, especially by the CFPB. That said, we do believe that credit negative actions like limiting credit card late fees or cash sweep accounts are unlikely to pass even with a Blue Wave and if passed will be subject to a legal challenge.

The last notable item for financials would be the impact on the AI trade and data center build out. The broker/dealers and the large banks have been large beneficiaries due to higher loan growth, deal activity, equity trading as well as debt underwriting. Any hint that the data center build activity could potentially slow down due to a shift in the Congress would likely be viewed negatively for the large banks, especially the broker dealers MS and GS, names that we believe have benefited the most from the boom in technology and data centers. We do think that the impact would largely be an equity story, however there is a silver lining for debt investors.

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY Power & Utilities

Kevin Kwan [AC]
kevin.l.kwan@jpmorgan.com
(212) 270-9455

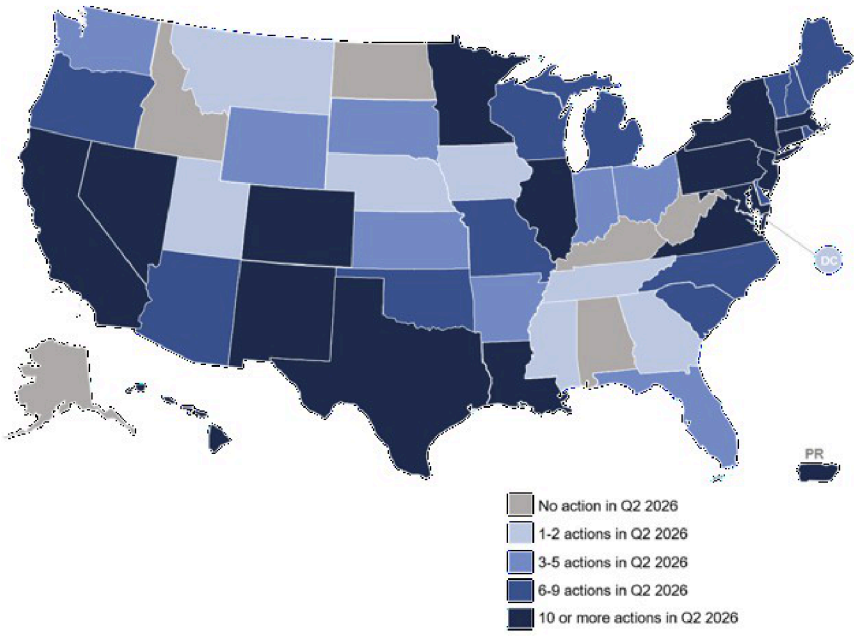
Erin Daugherty
erin.daugherty@jpmchase.com
(212) 834-6990

J.P. Morgan Securities LLC

Grid Modernization Remains a Bipartisan Issue

As we approach the midterm elections, we see both U.S. political parties continuing to support grid modernization, which continues to drive record capex spending for the sector. As electrical demand grows and new interconnection requests continue, policymakers broadly agree that the aging infrastructure of the U.S. grid needs critical updates and investment to continue to reliably and safely deliver power to customers. As of 2023, 70% of transmission lines and transformers deployed on the grid were over 25 years old. In response, U.S. utilities are projected to invest $239 billion in 2026 to make the grid stronger and more reliable, per EEI. As seen in Figure 1 below, nearly every state continues to see legislative and regulatory actions on grid modernization, particularly in the PJM RTO, Texas, California, Virginia, and the Northeast region. As a result, **we see the midterm elections as having a relatively benign impact for most regulated utilities as critical infrastructure investment continues**. However, we see more nuanced impacts state-by-state for the merchant IPP generators, particularly in regions with high power demand and significant community pushback on data center development, such as in PJM and ERCOT. **In particular, VST, NRG, and TLN could see incremental resistance to data center and power demand growth depending on midterm results, which we cover below.**

Figure 11: Q2 2026 Legislative and Regulatory Action on Grid Modernization



Source: NC Clean Energy Technology Center (NCCETC), "The 50 States of Grid Modernization"

The Pace of Data Center Development Remains a Critical Voter Concern

The Trump administration has strongly supported the construction and development of data centers to advance AI, framing the effort as a strategic race with China. On July 2025, President Trump signed an Executive Order in which he directed financial support toward the data center buildout through the Secretary of Commerce, the acceleration of the environmental review and permitting process, and

the authorization of construction on appropriate Federal lands. While President Trump has continued to strongly back the buildout of data centers, he signed the Ratepayer Protection Pledge in March 2026 suggesting that data centers would build, bring on, or buy new generation resources and cover the cost of all power delivery infrastructure upgrades required.

The buildout of data centers has become a significant concern for voters regardless of political affiliation or geographic location. According to a poll by PBS News, NPR, and Marist, 58% of U.S. voters say the construction of new data centers will mostly have a negative effect on the country, and 65% of voters oppose construction in their communities. While the Trump adminstration's push for data center development initially received broad support from Republicans, **some politicians who were once supportive have now changed tact as the midterm elections approach** amidst local and consumer backlash against data centers. One example of this is TX Gov. Greg Abbott's directive announced in August, stating that the PUC and ERCOT must conduct a comprehensive audit of all data centers advancing through the interconnection process. Ahead of the midterms, **Democrats have increasingly positioned data center growth as a campaign issue**, linking it to rising power costs under Republican leadership. In the current political environment, Northern Virginia has had the most data center development in the U.S. The next four markets are Phoenix, AZ, Columbus, OH, Dallas, TX, and Atlanta, GA.

While data center development and broader concerns around AI are likely to remain key policy issues, we believe the balance of power after the midterm elections will largely determine the pace of the data center buildout. If Democrats take both the House and the Senate in the upcoming midterm elections, we expect to see additional pressure to slow down data center growth given the significant pushback from communities, particularly around environmental impacts and affordability concerns. **Under this scenario, we would expect modest underperformance from the Independent Power Producers (IPPs) such as VST, NRG, and TLN, as the growth of data centers becomes more measured.** The Democratic party has emphasized its message that it would enforce more moratoriums and protect consumers with regulation and guardrails, promoting a strong anti-data center message at a time when AI concerns and community pushback are elevated. If Democrats only take control of the House and the Senate remains in Republican control, we expect the current pace of the data center buildout to continue.

Key Midterm Battlegrounds for the Data Center Buildout

Ohio: Senator Jon Husted (R) is defending his seat against a comeback bid by former Senator Sherrod Brown (D). In July 2026, Husted introduced the Ratepayer Protection Act, which would require data centers to cover their own electricity and upgrade costs to protect consumers. The Ratepayer Protection Act passed the U.S. House of Representatives in September by an overwhelming bipartisan vote, but the act failed to pass the Senate. **Brown has been vocal about his dislike of the rapid buildout of data centers in Ohio** and has aligned Husted with datacenters, according to The Guardian. As the midterms approach, Brown has continued to tie data center development to Husted.

Texas: Attorney General Ken Paxton (R) and state Rep. James Talarico (D) are competing in a closely watched contest. **Talarico has used the GOP's early support for data center investment as a persistent line of attack during his campaigning**,

and he unveiled his "Hold Data Centers Accountable Plan" in July, calling for giving local officials approval power over data center projects. While Paxton formerly voted for the data center sales tax exemption in 2013, he has just recently said he would back a ban on AI data centers in rural Texas and that his stance on data center buildout mimics that of Gov. Greg Abbott. Both candidates share the view that the industry should pay for its own infrastructure costs and that tax breaks for data centers should be terminated.

Pennsylvania: Two key midterm races to watch are the election for governor and the district elections for the U.S. House of Representatives. The upcoming gubernatorial election will determine whether Governor Josh Shapiro (D) holds onto the governor's office as he faces a challenge from Stacy Garrity (R). **Once showing support for the buildout of data centers, Shapiro has recently shifted his policy.** In August, Shapiro signed an Executive Order requiring data center developers to pay the full cost of energy needed to power their projects, to invest in the local community through engagement and hiring local workers, and to meet environmental protection standards, in addition to receiving local approval. Garrity has not released an official plan on data centers, but she favors mandatory rules that are not tied to climate and she vouches for a pause on data center development.

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY Consumer & Retail

Carla Casella, CFA AC
carla.casella@jpmorgan.com
(1-212) 270-6798

Yaakov Musheyev AC
yaakov.a.musheyev@jpmorgan.com
(1-212) 834-5865

Morgan Morrissey
morgan.morrissey@jpmorgan.com
(1-212) 834-2383

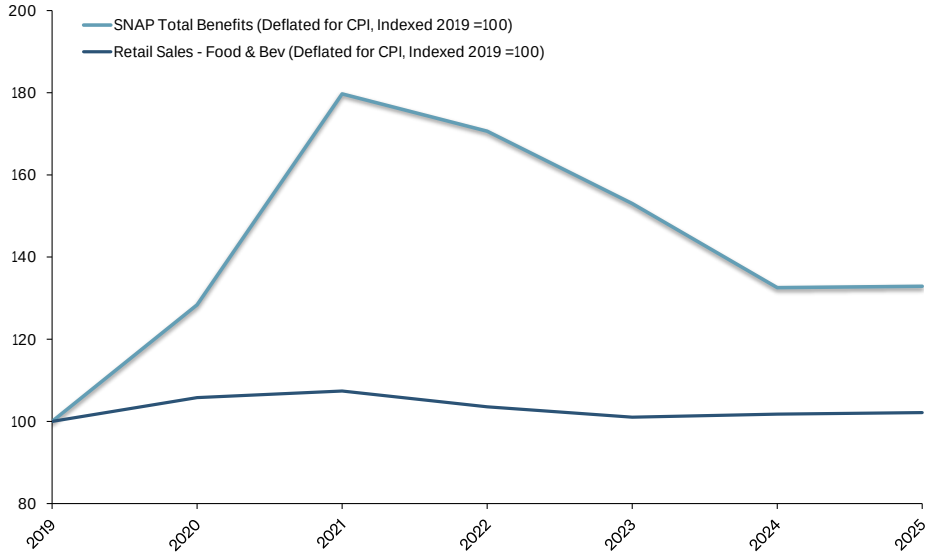
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The 2026 US midterm elections are unlikely to have a material impact on High Grade and High Yield Consumer, Food/Bev & Retail credits in the near term. Over the past 2 years, we have seen extreme tariff policy changes, reduction in SNAP benefits, and restrictive immigration. We would have expected each of these policies to have a greater impact on Consumer/Food/Retail bottom lines. Given how resilient the consumer has proven to be over the past 2 years, we believe that the levers that Congress controls will drive consumer behavior only slowly and on the margin over the coming 2 years (trade and tariff policy has been more driven by executive action, rather than Congress). Consumer Products, Food/Bev, and Retail are all driven by consumer health (in order of magnitude: jobs, wages, investments/wealth/cashpile, inflation in necessities, the affordability crisis); as a result, the policies we will be most focused on during the next 2 years are 1) tariffs, 2) SNAP, 3) immigration, and 4) regulatory oversight of M&A transactions or actions focused on affordability (here we question whether regulatory oversight could help the consumer but hurt the companies serving the consumer).

- **Tariffs remain a key focus, but Congress may not make a difference.** The midterm results shouldn't have a material impact on tariffs since they run through the executive and the courts, not the next Congress, but it remains a key focus for us — tariffs are bad for the consumer and volatility in policy makes it difficult for retailers and consumer companies to plan their business. The Supreme Court struck down the IEEPA tariffs on February 20, 2026, holding that the statute does not authorize presidential tariffs. With refunds phasing through CBP in April 2026, importers of record (including many of our retailers and consumer products companies) had claimed >$94bn by early June 2026. We treat the refund as a one-time cash item, not a structural tailwind, and find that most of our coverage is either using them to enhance their value message (i.e. discounting — WMT) or to pay down debt (for the more highly levered — KSS, MIK). We could see tariff increases from here; the administration has worked to backfill IEEPA revenue through more durable statutory authorities: a 12.5% Section 301 "forced labor" tariff on Chinese goods took effect July 24, 2026, explicitly positioned as more legally grounded than the invalidated emergency tariffs (Section 232 duties were unaffected by the ruling). The increased tariffs on Chinese goods were partially offset by the September 2026 Trump-Xi agreement that 1) cut tariffs on ~$30bn of non-sensitive goods each way (covering toys, home appliances, kitchen fixtures and holiday gifts) and 2) extended the trade truce to January 2027. On the North American front, the USMCA was *not* extended at the July 2026 joint review and now runs on annual reviews, expiring in 2036 absent a trilateral extension.
- **Changes to SNAP policy could affect the lower-income consumer's spending on food & beverages, but it moves overall demand only marginally.** The Supplemental Nutrition Assistance Program (SNAP) is the most direct channel from Washington into Consumer Staples volumes (benefits are legally spendable only on food-at-home, overwhelmingly at food-and-beverage retailers). Benefit levels are a legislative variable a new Congress could revisit. However, the transmission to actual demand is weak. SNAP accounts for only ~10-12% of food-and-beverage store sales and impacts only the lower end consumer, which makes up a very small portion of total retail spending. The remaining 88% of food-and-beverage store sales to non-SNAP spending tracks employment, wages, and population growth. The most direct evidence of this is the post-pandemic timeline: from the 2021 peak to 2024,

real SNAP benefits fell ~26% (the sharpest benefit withdrawal on record, reversing emergency allotments made during the pandemic). Even with this withdrawal, real food-at-home retail sales held flat-to-up. More recently, the One Big Beautiful Bill Act (OBBBA) reduced federal SNAP spending and shifted the costs to the states starting October 1, 2026 (the CBO places the reduction at ~$186bn over 10 years). Any midterm-driven change to SNAP (i.e. more supportive of the SNAP program) would benefit the lower end consumer and thereby the Food/Bev companies (TSN, LW, CAG, POST, KHC, MKC, FLO, GIS products are in consumer baskets in 5%+ of the trips when SNAP is used, per Numerator data) and retailers (KR, ACI).

Figure 12: SNAP moves the staples demand base only at the margin



Source: USDA - Food and Nutrition Administration, Federal Reserve Bank of St. Louis.

- **A reversal of the immigration crackdown could increase labor supply for food producers, manufacturers, and restaurants, as well as drive demand for retail and restaurants.** Congress has the primary constitutional authority to set US immigration law, though the executive branch implements and prioritizes enforcement. The broad immigration crackdown over the past 2 years has come largely via executive-branch actions —tighter enforcement and detention policies, added scrutiny and proposed new fees in skilled-worker channels (notably H-1B). While the crackdown may be reducing the labor pool, we had expected greater pressure on food and beverage companies than what we have seen over the past 12-24mo. Only a few have commented on immigration impacting results (i.e. Constellation Brands (STZ), maker of Modelo and Corona commented on weakness in the Hispanic population and CEC Entertainment (CEC), which operates Chuck E. Cheese restaurants, mentioned weakness in restaurants near the border in AZ and CA). QSR restaurants, mass merchants, dollar stores with greater exposure to the borders would all benefit from less restrictive immigration policies; while logistics costs and supply chain pressures would benefit if we see fewer truck driver shortages.
- **M&A transaction scrutiny and regulatory oversight likely have the greatest potential impact on our coverage group as food and beverage companies tend to "buy" growth.** A chamber flip toward Democrats raises the probability of

hearings and investigations into corporate pricing, "shrinkflation," and affordability optics across food and consumer goods. The oversight channel is already active ahead of the election — Senator Elizabeth Warren in her October 5, 2026 letter to the DOJ and FTC Chair Ferguson urged regulators to scrutinize and reject three pending food-industry deals: Kroger (KR)/Giant Eagle ($1.65bn), Sysco (SYY)/ Restaurant Depot ($29.1bn), and McCormick (MKC)/Unilever's food business (a ~ $65bn combination). Senator Warren sees these deals as part of a consolidation wave enabled by weak enforcement and the DOJ's new HSR merger-review shortcut. The FTC under Chairman Andrew Ferguson has shifted from the litigation-heavy strategy of prior Chair Lina Khan toward a more pragmatic, settlement-oriented model. Ferguson favors negotiated consent decrees and behavioral remedies over drawn-out litigation, and has aligned the FTC's practice with the DOJ's, including reinstating early termination of the HSR waiting period. Republican control of both chambers points the other way (lighter scrutiny, policy continuity). Given that M&A is a key element to many Consumer companies (slow-growth industries have to buy growth), restrictions on transactions are a deterrent to growth and secondarily, we would likely see lower issuance across Consumer and Food/Bev.

- **The refinancing backdrop is likely the cross-scenario constant.** Regardless of the outcome, continued deficit expansion and the resulting pressure on the long end matter more for refinancing conditions across our coverage. A divided government caps the odds of sweeping change in either direction, which limits policy shocks but equally limits relief. Companies with front-loaded maturities and thin liquidity carry that risk regardless of who wins. Well-laddered, deleveraging companies with strong FCF conversion should continue to do well through any configuration. We therefore frame the midterms as an overlay on the affordability and refinancing story, not as a standalone catalyst for Consumer Products, Food/Bev and Retail companies.

HG & HY Automotive

Avi Steiner, CFA AC
avi.a.steiner@jpmorgan.com
(212) 270-5512

Evan Piascik AC
evan.piascik@jpmchase.com
(212) 834-4432

Max Berman
max.berman@jpmorgan.com
(212) 834-2380

Zackary Weiner
zackary.weiner@jpmorgan.com
(212) 622-6734

J.P. Morgan Securities LLC

The 2026 U.S. midterm elections are unlikely to reset the policy backdrop for High Grade and High Yield Automotive credits immediately. The Automotive ecosystem will nonetheless remain prominent in debates over trade policies, domestic manufacturing, and consumer affordability. USMCA remains unresolved, while other issues may depend more on executive action or the 2028 election cycle than the composition of the next Congress. We examine these policy channels below.

USMCA remains the principal, unresolved auto policy issue. The United States declined to extend the agreement at its July 2026 joint review, but the existing USMCA remains in force while negotiations continue. We expect any revised agreement will define the tariff and rules-of-origin framework governing North American auto production through the early 2030s. The U.S. midterm election results would not itself change the agreement or the existing Section 232 tariffs on imported vehicles and parts. It could, however, affect congressional oversight of the negotiations and the path for any changes that require U.S. legislation. The key aspects of a new USMCA or bilateral trade agreements, in our view, are whether a revised framework changes rules of origin, U.S. and regional content requirements, or tariff treatment for vehicles and parts moving across North American borders. These terms would have different implications for OEMs and suppliers depending on their production footprints and sourcing. We wrote more extensively about USMCA negotiations and potential scenarios in our note from July. Importantly, any newly revised or renegotiated U.S.-Mexico-Canada Agreement, or bi-lateral agreements, that change tariff rates, customs procedures, or make substantive changes to existing domestic laws would need congressional approval. That said, the executive branch (President Trump) ultimately retains tariff authority without the need for Congressional approval regardless of the 2026 midterm election outcomes, maintaining an underlying level of industry uncertainty as long as the prospects of near-term tariff implementations/removals remain plausible.

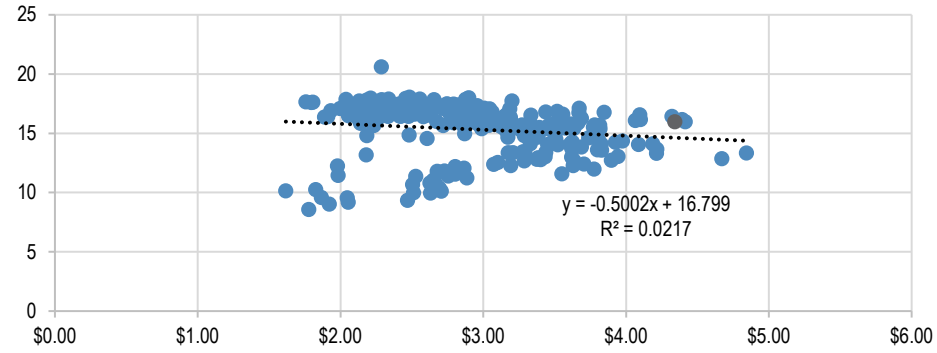
A new Congress could revisit EV incentives, but the current framework may prove difficult to reverse. Congress ended federal purchase credits for new, used, and commercial clean vehicles acquired after September 30, 2025. Lawmakers could propose restoring or redesigning those credits, or changing the separate Section 45X production credit, which continues to support U.S.-made battery components. Congress could also consider legislation addressing its authority to regulate vehicle emissions following the EPA's repeal of federal vehicle greenhouse-gas standards in February. Any measure would likely require passage in both chambers and the President's signature or a veto override via a 2/3rd vote.

Affordability measures could provide indirect support for light vehicle demand. Elevated vehicle prices and financing costs continue to constrain buyers, while fuel prices add to the cost of ICE vehicle ownership. A new Congress could revisit measures aimed directly at vehicle costs, such as the existing deduction for interest on qualifying new-vehicle loans, or consider fuel-cost relief, including a temporary suspension of the federal gasoline tax (discussed further in the HG/HY Energy section above). Lower prices at the pump would support household budgets, but our historical analysis finds a low correlation between fuel prices and aggregate light-vehicle sales. The R^2 of light vehicle sales and gas prices is just 0.02 and rises to just 0.42 even when excluding the 2008-2010 financial crisis period and the 2020-2022 pandemic and post-COVID era. The more immediate consideration for consumers amid higher gas prices is to trade

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

down vehicle sizes (from trucks/SUVs to sedans) or powertrains (from ICE to hybrid/EVs). We would therefore view fuel price relief primarily as a broader affordability measure, rather than a direct catalyst for vehicle volumes.

Figure 13: U.S. Light Vehicle Sales SAAR (y axis) v. AAA National Average Regular Unleaded Gasoline Prices (x axis)



Source: BEA, AAA, J.P. Morgan.

Restrictions on Chinese-linked vehicles could retain bipartisan support in the next Congress. Senators Bernie Moreno (R-Ohio) and Elissa Slotkin (D-Michigan) introduced the Connected Vehicle Security Act of 2026 in April, which would prohibit the importation, manufacturing, and sale of vehicles manufactured in China (or any other country of concern), as well as restrict related software and hardware. A bipartisan companion bill was introduced in the House. The proposals would build on an existing Commerce Department rule restricting certain China- and Russia-linked connected vehicles and technology, with vehicle-related prohibitions beginning in model year 2027. A new Congress could revisit the scope of these restrictions or seek to codify them, although the bills have not become law. Any expansion could also affect sourcing and technology partnerships involving incumbent OEMs and Suppliers, such as Stellantis, which partners with Chinese OEMs Leapmotor and Dongfeng outside the U.S..

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY A&D/Industrials/Capital Goods

Yilma Abebe AC
yilma.abebe@jpmorgan.com
(212) 270-5512

Evan Piascik AC
evan.piascik@jpmchase.com
(212) 834-4432

Austin Maltbia
austin.maltbia@jpmchase.com
(212) 834-4253

Max Berman
max.berman@jpmorgan.com
(212) 834-2380

J.P. Morgan Securities LLC

A new Congress could influence the pace and cost of data-center investment through permitting and electricity policy. Demand for data-center components, cooling systems, power-generation and utility equipment, and construction materials has supported Industrials/Manufacturing orders and backlogs over the past several quarters. Lawmakers have considered changes to federal environmental reviews and transmission planning, alongside measures to protect consumers from electricity costs associated with data-center expansion. The next Congress could pursue legislation that facilitates new power infrastructure while requiring developers to bear more of its costs. However, data-center locations and retail electricity rates remain primarily state and local matters. For the Industrials/Manufacturing sector, we are monitoring potential changes to project timing, customer investment economics, and the mix of grid-connected versus on-site power. These changes could accelerate or delay new orders and backlog conversion across electrical equipment, generation, cooling and construction-related credits.

Federal infrastructure spending presents a more direct congressional policy channel for capital goods. We are monitoring potential changes to funding levels, program priorities and funding sources for federal highway, transit, and rail programs. Congress recently extended the IIJA authorizations through December 11, 2026. The longer-term debate also includes how to address the Highway Trust Fund's funding shortfall. The fund supports both highway and public transportation programs through separate highway and mass transit accounts. We are focused on whether subsequent legislative changes will alter the pipeline of construction activity and equipment demand, distinguishing funding for future projects from execution of existing projects.

We are watchful of trade policy developments. Congress holds constitutional authority over tariffs, but has delegated substantial powers to the executive branch. The Industrials/Manufacturing sector's gross tariff exposure is relatively limited given supply chain adjustments over the past several years (producing in the same region the products are sold) and the sector has substantial pricing power to pass along tariff costs to customers. High yield Industrials/Manufacturing names are largely based in the U.S. with limited tariff exposure. That said, the sector could be affected by policy changes to alter imported-input costs, customer capex spending or incentives to manufacture domestically. The Aerospace & Defense subsector has benefited from trade policy developments with significant international contract wins, particularly in commercial aerospace.

For Aerospace & Defense we do not expect the outcome of mid-term elections to have a material impact on the sector's favorable trends in the near- and medium-term. In commercial aerospace we expect new aircraft demand, higher OEM production rates, and global travel demand to drive growth. To date, demand for commercial aftermarket has not been significantly impacted by higher fuel costs and reduced airline capacity due to the conflicts in the Middle East and we expect this end market to remain resilient. On the defense side, we acknowledge that there is risk related to the defense spending outlook. With a change in Congress, large budget increases like the current defense budget request of $1.5 trillion could be scaled back, which would have implications on the broader industry. We could also see certain high-profile priorities for the current administration delayed or scaled back like the Golden Dome and the F-47 programs. While these programs have modest revenue contribution today, they are expected to be a source of growth in future years. This said, acknowledging the

uncertainty, our base case assumption is for the defense budgets to grow at least mid-single digits over the next several years regardless of the outcome of mid-terms.

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY Metals/Mining

Arjun Chandar AC
arjun.c.chandar@jpmorgan.com
(1-212) 834-4047

Justin Chang
justin.chang@jpmorgan.com
(1-212) 622-338

J.P. Morgan Securities LLC

The key consideration around the midterm elections for the Metals & Mining space centers around tariff implications for steel, aluminum and copper. The US imposes Section 232 national security tariffs on imported steel, aluminum and copper based on their full customs value and domestic metal content. A 50% tariff is applied to commodity steel, aluminum and copper articles made almost entirely of the metal. A 25% tariff is applied to general steel and aluminum derivative products, as well as other copper articles not covered by the 50% tier. We note that under current policy, steel and aluminum from the UK face a 25% tariff (or 15% for certain industrial/grid equipment) if composed of at least 95% UK-sourced metal. A Blue Wave scenario would likely drive some political pressure around tariffs as Democrats have argued they burden manufacturing, spike consumer/construction costs, and spark retaliatory friction with close allies. If the Democrats gain control of Congress, we expect more pressure on tariffs but limited ability to reverse them. Section 232 rests on authority Congress delegated under the Trade Expansion Act of 1962, so narrowing it requires new legislation. Overriding a veto requires two-thirds of both chambers. While the current administration recently lowered the "entirely American-made" threshold from 95% to 85% to expedite domestic compliance and grant 10% lower tariff rates, Democrats prefer deep integration with strategic allies like Canada and Japan to meet manufacturing needs rather than local content rules that drive policies emphasizing domestic content requirements.

Mining commodities tend to exhibit an inverse correlation to the US Dollar. The dollar index (DXY) has risen from ~98 at the start of the year to ~102.3, an 18-month high. Gold is down ~3.5% YTD as higher yields and a stronger dollar weigh against it. Regarding future fiscal policy, we'd note that a divided government potentially carries the implication of creating legislative gridlock that would block major tax or spending spikes and potentially stabilize the currency. In a Republican legislative sweep scenario, we would expect more tariff pressure and potentially CPI index inflation, pushing the Federal Reserve to either hold rates steady or hike them. Higher rates could potentially act as an upward driver for the USD. A Democratic legislative sweep could lead to tightened fiscal spending caps on war, de-escalation of foreign risk premiums and moderating yield curves which could serve to be a more moderating catalyst for the USD.

The administration's Project Vault is a ~$12B domestic strategic stockpile for critical materials, funded largely by the Export-Import Bank of the United States (EXIM) with support from private sector capital. The stockpile serves as a commercial insurance mechanism and liquidity buffer so U.S. industrial companies (such as automotive, aerospace, and high-tech firms) can avoid severe production cuts or plant shutdowns during supply shocks. It is paired with a proposed preferential trade zone utilizing rigid price floors. A Republican hold would likely expand this framework, along with faster permitting and extraction from non-traditional sources (e.g., vanadium recovered from petroleum catalysts for steelmaking). Under a divided government, we expect the program to survive but potentially face closer scrutiny. Democratic lawmakers, led by figures like Senator Martin Heinrich (D-NM) and Representative Jared Huffman (D-CA), have formally requested investigations into executive-branch mining and mineral awards, focusing on alleged conflicts of interest. Additionally, when considering mining methods and natural resource extraction, Democrats largely prefer recycling and demand-side incentives over new extraction as a more environmentally

friendly approach to construction.

While tariffs are likely to stay in place regardless of outcome, the longer term narrative around domestic metal commodity pricing could change based on the election results in November. We have seen domestic hot rolled coil (HRC) steel increase over 30% YTD as a result of economic strength, demand resilience and tariff policies. We expect a Blue Wave scenario to potentially have an effect on forward curves and negatively impact domestic integrated producers. We believe further progression in Democratic policy could drive upside in recycling-oriented processors like downstream metals (aluminum/steel) that drive more recyclable production through value-add processing.

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY Paper/Packaging

Arjun Chandar [AC]
arjun.c.chandar@jpmorgan.com
(1-212) 834-4047

Justin Chang
justin.chang@jpmorgan.com
(1-212) 622-3380

J.P. Morgan Securities LLC

Global packaging companies are impacted by movements in the US Dollar (notably against the Euro) given the high degree of international asset exposure in the space. As we noted in our Metals/Mining writeup, we expect elevated yields in a Republican legislative government to be beneficial to the USD, while de-escalation and reduced funding in a Democratic legislative scenario could be moderating for the USD. Under a Republican Congress, inflationary policies, further support around tariffs and a potential Fed hiking cycle could keep rates higher for longer and support the dollar near term, though fiscal concerns could weigh on the dollar over time.

Energy input costs and inflationary pass throughs remain a focus in packaging heading into midterm elections. The administration is already targeting pump prices through executive action. It has authorized Russian diesel imports through April 7, 2027 and expanded highway use of tax-exempt dyed diesel. Under a Republican Congress, we expect that focus to continue, including the President's floated federal gas tax suspension. Under a divided government, we expect more focus on electricity costs, including requiring data centers to pay the full cost of the grid upgrades they need. Under either outcome, global supply remains the main driver of fuel prices. Before the conflict with Iran began on February 28, Brent traded at ~$72.5/bbl and WTI at ~$67.0/bbl. Today, Brent is at ~$105/bbl and WTI is at ~$93/bbl. Steps taken so far, including the Russian diesel deal and emergency reserve releases, have done little to lower fuel prices, and for packaging issuers, we expect energy costs to represent a headwind in the near term.

Consumer tariffs as related to e-Commerce packaging will be interesting to monitor coming out of the election in November. Two trade changes are reshaping e-commerce packaging demand. First, the US suspended the $800 de minimis exemption for all countries in August 2025. U.S. Customs and Border Patrol (CBP) has since written the suspension into its rules, with a compliance deadline of October 22, 2026. Low-value parcels now require customs entry and duties, which makes shipping directly from China less viable. Many sellers are shifting to bulk imports into US warehouses and fulfilling orders domestically. Second, after the Section 122 tariffs expired on July 24 without a congressional extension, the administration replaced them with Section 301 tariffs of 10–12.5% on 60 countries. Because Section 301 doesn't need congressional approval, we expect the tariff framework to largely persist under either outcome. Under a Republican Congress, we expect current policy to continue. Under a divided government, we expect more scrutiny of consumer costs, but limited ability to reverse executive tariffs. For packaging, the net effect is a change in mix rather than a loss of volume. Fewer cross-border small parcels are partly offset by more domestic fulfillment.

Lumber and pulp tariffs are likely to remain in place, so we don't expect any material movement here. US tariffs on Canadian softwood lumber total ~45%. A separate 50% Section 338 tariff, with no USMCA exemption, applies to a broad range of Canadian wood, pulp and paper products. These include dissolving pulp, kraft linerboard, corrugated boxes, tissue, printing and writing papers and coated paperboard. Canada responded with counter-tariffs of up to 50% on US pulp, paper and packaging. Under a Republican Congress, we expect the tariffs to stay in place. Under a divided government, we expect more pressure for a settlement, though Section 338 authority stays with the President, subject to court challenges. Softwood lumber would likely stay on its own track through Commerce's annual duty reviews.

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

We see any potential impact to the Paper/Packaging space coming out of the midterm elections coming in the form of a change in the narrative around Oil and FX. We would view a Republican Congress as a net negative for the sector and a divided government as a net positive. Under a Republican Congress, the tariff framework likely persists or expands, keeping cross-border input and freight costs elevated and Canadian counter-tariffs in place. Inflationary policy and a potential Fed hiking cycle would also support a stronger dollar, a headwind for translated earnings given the space's international exposure. Under a divided government, we would expect less tariff pressure and better odds of a negotiated settlement with Canada, which could lower cross-border costs over time. A more moderate dollar would also support translated foreign earnings. The main exception is domestic containerboard producers, which benefit from tariffs on Canadian paperboard.

Tarek Hamid [AC]
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY Housing

Arjun Chandar [AC]
arjun.c.chandar@jpmorgan.com
(1-212) 834-4047

Justin Chang
justin.chang@jpmorgan.com
(1-212) 622-3380

J.P. Morgan Securities LLC

In front of midterm elections, a bipartisan bill called the 21st Century ROAD to Housing Act was passed. The Act became law on July 11 after passing 358-32 in the House and 85-5 in the Senate. It combines the House's Housing for the 21st Century Act and the Senate's ROAD to Housing Act of 2025. From January 7, 2027, it restricts institutional buying of single-family homes (defined as investors with 350 or more single-family homes). Existing portfolios are grandfathered, and build-to-rent and new construction are exempt. On supply, the Act directs the Department of Housing and Urban Development (HUD) to issue updated guidelines to help municipalities modernize zoning. It also streamlines National Environmental Policy Act (NEPA) reviews, with exemptions for certain infill and affordable projects, and creates grants to convert vacant and commercial buildings into housing. It removes the permanent chassis requirement for manufactured homes, which should ease their placement and financing. On capital, it raises the cap on bank public welfare investments from 15% to 20%, freeing more private capital for Low-Income Housing Tax Credits (LIHTC). It also makes the Rental Assistance Demonstration (RAD) program permanent with 100,000 more units, reauthorizes the HOME program, and creates a small-dollar mortgage pilot (up to $100,000) for lower-priced and rural markets. However, the Act authorizes programs without appropriating funds, including a $200M/year Innovation Fund for FY27–FY31. That makes the next Congress's appropriations decisions the key swing factor for how much new supply the Act delivers.

We expect the results in November to impact economics around renting vs consumption. Renting largely remains cheaper than buying at prevailing mortgage rates today. Affordability is a central issue for both parties heading into the midterms. Housing costs are now the top priority for voters aged 18–34, the age group most likely to be renting, and 38% of them trust Democrats on the issue versus 32% for Republicans. Under a Republican Congress, we expect the focus to be on access to homeownership through supply, deregulation and looser mortgage financing. Republicans favor market-driven solutions. These include streamlining federal and environmental reviews, overhauling HUD codes for manufactured and modular housing, using incentives rather than mandates to encourage local zoning reform, and easing regulation on community banks, which provide ~60% of construction loans. Under a divided government, we expect the focus to shift to renters: rents, renter protections, corporate landlord practices, fair housing enforcement and shared-equity homeownership. Democrats favor direct federal funding for affordable and multifamily housing, broader limits on institutional purchases of starter homes, stronger consumer credit protections and closer oversight of HUD and the FHFA. We view this as more supportive for multifamily and affordable housing developers, but it adds headline risk for single-family rental operators. Policies with support from both parties, such as tax breaks for first-time buyers (backed by 85% of Democrats and 77% of Republicans), are the most likely to advance.

Immigration reform and the competition for labor is a growing bottleneck in the ability to bring housing supply to market to curb affordability pressures. Labor availability is a key constraint for homebuilders, and the election outcome could tighten or ease it. Immigrants make up more than 26% of the construction workforce, and a much larger share in some trades: 57% of drywall workers and 53% of roofers. ICE arrests hit a record 50,925 in August. Builders in Houston, Richmond and Jacksonville report labor shortages, higher labor costs and construction delays tied to enforcement.

Lennar has said about 20% of its divisions are feeling labor pressure, with some trade partners losing entire crews. At the same time, data center construction is competing for the same skilled trades, particularly electricians and mechanical workers, which pushes wages higher. Under a Republican Congress, we expect a net negative for homebuilder labor availability. Continued immigration enforcement and federal support for data center buildouts would both tighten the labor pool, extending build cycles and pressuring margins. Under a divided government, we expect conditions to improve modestly. Democrats would likely use oversight and appropriations to slow enforcement. They also favor making data centers pay the full cost of the grid upgrades they need, which could slow the pace of new projects and ease competition for skilled trades. Together, these would likely improve labor availability and costs for builders.

Mortgage availability remains a key issue, primarily to unlock a relatively frozen first-time homebuyer market, in our view. The FHFA has approved VantageScore 4.0 for Fannie Mae and Freddie Mac loans, and FHA will accept it from January 1, 2027. Under a Republican Congress, we expect the focus to be on loosening underwriting, credit scoring and down-payment rules. Under a divided government, we expect it to be on FHFA oversight; Democrats have already asked the Director of the FHFA to testify before Congress.

Creating additional housing supply remains the most direct way to quell affordability pressure. Under a Republican Congress, we expect the focus to be on permitting reform, manufactured and modular housing, insurance costs and domestic-materials requirements. Insurance is becoming a political issue: up to 58% of tracked voters say rising premiums affect whether they will vote in the upcoming midterms. Under a divided government, we expect it to be on affordable housing production and preservation, after some Democrats criticized the ROAD Act for lacking new federal funding. A Democratic House would control appropriations for programs the Act authorized but didn't fund, including HOME, RAD and the $200M/year Innovation Fund. We would expect Democrats to use that leverage to push for direct funding of affordable and multifamily housing, along with less tariff pressure on building materials.

Addressing housing affordability remains bipartisan, but other policy initiatives that impact rates will ultimately have the most lasting impact on housing, in our view. The general consensus is that we need more support to improve affordability, but rates will play a big role in determining the pace of recovery. In a Blue Wave scenario, where the potential for disinflationary policy is a bit stronger, we would expect the market to price in more moderation around rates, which would be supportive for housing demand and affordability.

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

HY Gaming/Leisure/Lodging

Michael Pace AC
michael.pace@jpmorgan.com
(1-212) 270-6530

Stanislav Van Genderen AC
stanislav.vangenderen@jpmorgan.com
(1-212) 834-5481

J.P. Morgan Securities LLC

Gaming

There has been increased attention (and capital) focused on Prediction Markets (PM) over the last couple years as trading volumes have increased and the regulatory regime remains unsettled. Core issues include (i) whether sports-related "event contracts" sit inside the CFTC's federal/national regulatory regime or should be treated as gambling under each respective state's law and (ii) whether sports-style contracts should be permitted at all. A key argument surrounds the Dodd-Frank/Commodity Exchange Act framework surrounding event contracts; including how "gaming" is defined, and whether a given contract is deemed to involve gaming and therefore potentially contrary to the public interest. The policy backdrop is split: there is bipartisan momentum both at the state and congressional level to curb sports-style contracts, while the White House has argued for CFTC exclusive jurisdiction over PMs. A major friction point are taxes, states are concerned prediction markets could divert activity away from regulated sportsbooks and thus, gambling tax receipts, because PM companies are currently not licensed gambling operators, and currently not subject to each respective state's taxed sports betting. If Democrats were to take control of Congress, the clean read through is an emphasis on consumer protection, insider-trading, and the view that sports-style contracts should not bypass state/tribal gaming frameworks (including the associated safeguards and taxes). On the Republican side, support for CFTC exclusive jurisdiction exists, but the broader GOP coalition includes state officials aligned with treating sports contracts as gambling.

Ultimately, we think this likely ends up in front of the Supreme Court given the conflicting rulings on whether states can regulate sports event contracts as gambling vs federal supremacy. If sports event contracts get a national go ahead under a CFTC-centered regulatory regime, we'd view that as most negative for OSB operator business plans (DKNG/FLUT) and note Flutter's increasing leverage and agency ratings (Ba1, Negative / BB+ Negative) which could lead to a downgrade of their secured debt to the HY market if fundamentals deteriorate and leverage continues to increase. That being said, a "go-ahead" outcome could force larger states (TX/CA) to respond by accelerating OSB legalization in an effort to recapture tax revenue. Increased state by state adoption of OSB/iGaming could benefit traditional casino operators that have Digital segments (i.e. CZR, MGM, PENN). We also would not rule out Brick & Mortar casino operators exploring either partnering with, or launching, prediction-market offerings over time, current participation is constrained by state licensing/regulatory optics and avoiding any activity that could create risk of losing gaming licenses in states where a casino is located. If the Supreme Court strikes down sports-style prediction market contracts / affirms state gambling authority, we view it as removing an overhang on the OSB space and should benefit all OSB operators (including the larger traditional casino operators) by decreasing competition, which could include reduced promotional spend, and spend building up PM businesses. In this outcome, we believe PENN 6.75s '31 would benefit as one of the wider trading names in regional gaming (97.75/7.35%/ +235bp) – where leverage is currently elevated and Interactive profitability is expected to inflect, which would further improve the deleveraging path and create room for spread compression.

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY Transportation

Mark Streeter, CFA AC
mark.streeter@jpmorgan.com
(1-212) 834-5086

Benjamin Stueck
benjamin.stueck@jpmorgan.com
(1-212) 270-6757

J.P. Morgan Securities LLC

Mixed implications. If the Democrats gain seats / control, tariffs could be rolled back resulting in shifting trade flows (rail carloads running +3.4% YTD through week 40, but import / export driven intermodal volumes +4.4% in contrast). The political landscape is somewhat divided in terms of support and opposition for the mega UNP-NSC proposed merger (Texas AG Paxton has been vocally opposed, so watch this Senate race). We do think any lessening of White House influence could negatively impact (on the margin) deal approval probability or, perhaps more likely, lead to more required STB concessions. The merger timeline has already been extended well past the midterms, with a Surface Transportation Board decision not expected earlier than late 2H27, with risk of slippage into 1H28. Current merger-arb pricing implies a 56% approval probability (our base case remains that the deal will be approved).

Fuel is mostly a pass through to our rail, trucking, and parcel credits but has already had a material impact to our airline coverage (Spirit Airlines liquidation, American Airlines 5yr CDS 105bp wider YTD, JetBlue 9.875% loyalty bonds $35 lower since April). Jet kerosene in New York Harbor (JETINYPR) has more than doubled from $2.01 / gallon to start the year to over $4.75 currently. US Airlines remain unhedged. Any shift in the political landscape which extends or shortens the conflict in the Middle East, and thereby influences the oil curve and refining margins higher or lower, will likely disproportionately impact these higher fuel beta situations. One wild card to watch is any legislation regarding credit card exchange rates given the increased importance of loyalty economics to airline profitability. With potentially more Democratic influence in Washington, the risk to airlines is legislation that reduces the profitability to the loyalty points universe. Prior government shutdowns have also disproportionally impacted airlines, particularly under-staffing at air traffic control and TSA agents that drove reduced flying. If oil remains high and JetBlue or Frontier seek Chapter 11 protection, we do believe the DOJ (and the DOT) will be more supportive of industry M&A given the prior rejection of the Spirit Airlines – JetBlue merger agreement, the subsequent liquidation of Spirit, and ultimately the loss of ~17,000 jobs. While Frontier may struggle to attract a merger partner, we have written extensively about competitor interest in the JetBlue franchise, notable at United, Alaska, Southwest, and American.

All else equal, as interest rates rise, margins at our lessors narrow (on the margin). The offset remains a still under-supplied aircraft market despite OEM production increases (off a below long term trend base) and weaker than expected traffic growth YTD (global traffic up on 0.4% YTD through August vs. beginning of the year forecast for 4.9% traffic growth) due to the obvious reasons (Middle East and worldwide capacity cuts due to higher fuel prices).

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY Chemicals

Aaron Rosenthal, CFA AC
aaron.rosenthal@jpmorgan.com
(1-212) 270-4584

Elle Boyd
elle.boyd@jpmchase.com
(1-212) 270-7283

J.P. Morgan Securities LLC

The most impactful outcome for the Chemicals industry tied the U.S. Midterm Elections would be a potential acceleration or deceleration of U.S. participation with respect to the conflict in Iran. Direct policy actions from either side are more likely aimed at participants further down the supply chain and have historically failed to materially impact industry fundamentals.

We previously focused on tariffs and trade measures back in 2024 when we wrote about economic proposals and potential impacts to Chemicals under both a Harris administration and a Trump administration. The tariff regime implemented by the Trump Administration following the 2024 election accelerated the pace and magnitude of reactionary measures by trade counterparties just as chemicals fundamentals were attempting to rebound. Trade tensions exacerbated an already fragile demand backdrop while supply globally remained resilient. Direct efforts from the current Administration beyond the initial imposition of tariffs and the evolving impact on the industry and global economy tied to the Iran conflict are unlikely to be matched by any particular piece of legislation, but it is worth reviewing more recent trends that are showing up at the company-level across a range of producers.

Many chemical products have been exempted from the various rounds of tariffs. A handful of our coverage names have called out IEEPA tariff refunds (EMN received $22 million in 2Q26). The U.S.-EU free trade agreement went into effect in July 2026, which cut EU tariffs on some U.S. petchem exports to zero (from 6.5% in the case of ethylene and PE; relevant for companies like INEGRP, DOW, LYB, and WLK). The existing (U.S. to EU) arbitrage expanded as a result, but production economics (U.S. advantaged assets) are more impactful given the high cost nature of European facilities. The U.S. did not extend the USMCA at the July 2026 joint review, though the existing USMCA remains in force as negotiations continue (relevant for auto end-markets, see above). Tariff tensions between the U.S. and Canada persist, though notable chemicals including fertilizers (and subsequently, salt) were excluded while the U.S. and China agreed to reduce tariffs on $60 billion worth of trade. ICIS noted that the U.S. will include no plastics or chemicals among the $30 billion worth of Chinese imports eligible for tariff reductions, but China is expected to include some oleochemicals (incl. glycerine, unplasticized cellulose acetate, and other polyesters) in the $30 billion worth of U.S. imports eligible for tariff reductions. **We would expect tariff and trade policy uncertainty to persist, regardless of a unified or split Congress post-midterms.**

Any geopolitical actions into and/or after the midterms (M.E. conflict, Russia/ Ukraine) are arguably more important for Chemicals producers than potential policy impacts from midterm results. The impact on chemicals supply chains and production economics for select producers post the onset of the conflict in Iran has been discussed at length (see here, here, and here) as bottom of cycle petrochemical economics reached peak cycle conditions almost overnight for petrochemical and select commodity chemical chains. Economics today are meaningfully below peak cycle conditions, but also well above prior expectations for run rate economics into 4Q26 given the resumption of hostilities post the collapse of the MOU. Specialty chemical producers likely face an uphill battle in 2H26 with respect to maintaining margin integrity given volatility volatilty supply chains and raw material prices against weak underlying volumes. Record diesel costs and elevated freight rates are impactful for both Commodity and Specialty producers. Reactionary policy measures implemented to combat such costs are more likely to produce temporary than structural changes (with an

arguably more detrimental impact with respect to the medium-term price dynamic in our view).

North American farmer affordability (relevant for fertilizer producers CF, CMP, MOS, NTRCN in addition to crop protection players like FMC) has been a major focus under the Trump administration and has garnered attention and/or support from both sides of the aisle. In December 2025, the Trump administration announced $12 billion of farmer bridge payments citing "temporary trade market disruptions and increased production costs." In early February, a bipartisan group of members of the farming industry wrote a letter to Congress about farmer affordability and policies to support farmers. The onset of the Iran conflict later that month led to elevated sulfur costs and fertilizer prices, while diesel prices have also surged. President Trump earlier this month signed an Executive Order that aims to cut diesel costs by authorizing highway use of tax-free dyed diesel and deferring the federal diesel excise tax through YE26. However, the two parties have sometimes disagreed with how to best provide relief to farmers as evidenced by the stalled Farm Bill (the Agricultural Act of 2026). The current (2018) Farm Bill expired on September 30th (after being extended three times prior) with Congress not passing a replacement bill or an extension. Most recently, Senator John Boozman (the chairman of the Senate Agriculture Committee) noted that they are working to have a final bill to pass after the midterms. The Trump administration and Republican lawmakers this year have also pushed to attach an additional ~$11 billion in farm assistance to a defense bill (still pending as of this writing). See here for additional thoughts on the global ag macro, El Nino, and food security risks.

We are also monitoring for potential impacts to key Chemicals demand end-markets, including Automotive and Housing/Building & Construction. Demand from these interest-rate sensitive end-markets have been lackluster for the past three to four years, and rates in the current environment are expected to stay higher for longer. Credits levered to autos and/or housing/B&C like PPG, RPM, and SHW have been able to offset volume declines via share gains in some product lines. Our HG & HY Autos colleagues pointed out that a new Congress could revisit EV incentives (potential impacts for CE, HUN) but that the current framework could be difficult to overturn. In addition, affordability measures could indirectly support demand for light vehicles (AXTA, CE, HUN, PPG). Meanwhile, our HG & HY Housing colleagues noted that, "In a Blue Wave scenario, where the potential for disinflationary policy is a bit stronger, we would expect the market to price in more moderation around rates, which would be supportive for housing demand and affordability."

The Chemicals industry would likely benefit from M&A to kickstart supply rationalization, as peak cycle earnings earlier this year likely delayed larger-scale capacity rationalization globally. Most of the M&A transactions YTD have been asset or segment-level M&A (rather than larger, corporate M&A) and are unlikely to result in meaningful supply rationalization. Under a divided Congress or a Blue Wave, the potential for hearings and/or investigations into any proposed M&A could increase, though the FTC and the DOJ remain the key oversight agencies. In August, the FTC blocked the proposed acquisition of Liquid Nails by Henkel (a manufacturer of construction adhesives) from American Industrial Partners. The mandatory waiting period under the U.S. HSR Act for the proposed OLN-HUN merger expired in September (expected close in 1H27). Our HG & HY Consumer & Retail analysts above highlighted Senator Warren's recent letter to the DOJ and FTC Chair Ferguson that urged regulators to reject three pending deals, including the potential combination of McCormick and Unilever's food business.

Tarek Hamid AC
(1-212) 834-5468
tarek.x.hamid@jpmorgan.com

J.P.Morgan

HG & HY REITs

Mark Streeter, CFA AC
mark.streeter@jpmorgan.com
(1-212) 834-5086

Benjamin Stueck
benjamin.stueck@jpmorgan.com
(1-212) 270-6757

J.P. Morgan Securities LLC

Mixed implications. REIT stocks remain correlated, at least in the short term, to interest rates. As rates rise, relative REIT stock performance suffers. Therefore any changes post-Midterms that potentially lower rates are favorable to REIT sentiment.

As highlighted in our recent team Housing note here, higher interest rates all else equal reduced renter move out to single family home purchases and thereby supports demand for multifamily housing. For perspective, public rental housing leader Vivmark recently cited ~60% renewal rates in the REIT's latest update with net effective rents up 3.6% and physical occupancy just under 96%. On the single family rental (SFR) side, higher interest rates also support demand for this product as housing affordability falls as interest rates rise. We are back to a more bullish stance on the SFR credits (AMH, INVH) now that we have clarity on the rather mild (for now at least) legislative constraints placed on these two REIT credits by the ROAD to Housing Act (passed on 11-Jul-26). MLS purchases of properties, effectively now banned by large institutional owners, were never a large part of their go-forward growth strategy. Instead, the SFR REITs grow through build to rent (BTR) platforms which were carved out of the ROAD Act's list of restrictions / prohibitions. What matters more to us in terms of legislative risk is the fact that the GSEs (Government Sponsors Entities, Fannie Mae and Freddie Mac specifically) underwrite ~40% of multifamily loans. As long as the GSEs are active, the rental housing REITs have access to a unique contingent / backstop source of financing not available to most REIT property investors. Furthermore, rental housing REIT leverage typically runs well below 6x (VMRK at 5x, MAA at 4.5x, AMH / INVH at 5.2x and 5.4x, respectively), which on assets that consistently trade at <6% cap rates (>16x multiples) equates to effective LTV leverage of <35%. As interest rates rise, the much more leveraged private rental housing market secured loans remain vulnerable as debt service coverage is stressed. This loan stress could create opportunities for the higher rated (BBB+ to mid A) multifamily REITs we cover, with unique best in class access to capital, to opportunistically purchase distressed assets /portfolios. We would be surprised if additional housing legislation is passed targeting the SFR REITs even under greater Democratic influence in DC given the (somewhat) bipartisan coordination on the ROAD Act. On the local / state level, rent caps clearly are a headwind for multifamily landlord portfolios so keep your eye on the coastal cities for any incremental efforts.

Shifting to health care real estate, the One Big Beautiful Bill Act enacted an estimated $920bn in Medicaid cuts over the next decade, and while this doesn't directly lower long-term care reimbursement rates, it may indirectly pressure healthcare REIT tenants to the extent individual states respond by trimming reimbursement more broadly. This is already law, so the Midterm question isn't whether these cuts happen but rather whether a new Congress adds to them, leaves them alone, or attempts a partial rollback. We think the scenario analysis here is fairly clean. Under a Red Wall, we'd see a credible path toward a third reconciliation package that could layer on additional Medicaid cuts, which would be an incremental negative for operators with meaningful skilled-nursing and Medicaid-dependent exposure. Under a split Congress or a Democratic sweep, further cuts become essentially impossible to pass, which is itself a modest positive for healthcare REIT credit on a relative basis — lower odds of incremental cuts improves the risk / reward even if a full rollback remains out of reach given the Republican White House and Senate filibuster. A Democratic Congress would likely attempt repeal legislation targeting the OBBBA Medicaid provisions specifically, and while we'd

expect this to be vetoed, we think the headline risk cuts in the opposite direction from most of our other topics — it's a modest positive sentiment driver for the sector rather than a negative one, which is somewhat unusual in this election cycle.

Another area to watch is data center legislation. We don't expect a comprehensive federal AI regulatory bill under any Midterm outcome — state-level restrictions, energy/grid tax policy, and community-level permitting pushback remain the more binding near-term constraints on data center buildout, not Congress. That said, a Democratic Congress would likely use oversight hearings to probe AI's power demand and its competition with residential and industrial grid capacity, which has become a live local political issue in several data-center-heavy markets. We don't think this materially slows deployment in the near term, but it does add to the headline-risk pile for the sector at precisely the moment some investors are already questioning whether 2026 represents peak AI-capex sentiment. Under a Red Wall, we'd expect continued deregulatory tailwinds and faster Federal permitting support, though state and local power constraints would remain the binding factor regardless. We'd watch this topic less for Midterm legislative risk and more as a sentiment indicator — if data center REIT spreads start widening meaningfully, it likely says more about AI capex durability than it does about who controls Congress.

Tarek Hamid [AC] (1-212) 834-5468
tarek.x.hamid@jpmorgan.com
J.P. Morgan Securities LLC
Kabir Caprihan, CFA [AC] (1-212) 834-5613
kabir.x.caprihan@jpmorgan.com
Nathaniel Rosenbaum, CFA [AC] (1-212) 834-2370
nathaniel.rosenbaum@jpmorgan.com
Nelson Jantzen, CFA [AC] (1-212) 270-1169
nelson.r.jantzen@jpmorgan.com

J.P.Morgan

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